A founder plans to operate in a second state. What should she check?

Answer: C. Whether that state requires registering the LLC there too

Doing business in another state can require registration there.

- ✗ A. Whether to dissolve the first LLC: not required
- ✗ B. Whether her logo is popular in that state: unrelated
- ✗ D. Nothing; one state filing automatically covers every other state: not always

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F2-Q5 · question page 504

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks

Which statement is accurate?

Answer: B. Formation steps and fees vary by state.

Always check the specific state.

- ✗ A. Only federal law controls LLC formation.: state law controls
- ✗ C. LLCs never need a registered agent.: they usually do
- ✗ D. Every state has identical forms and fees.: they differ

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S25-M-Q1 · question page 506

ENT.LEGAL.07 · Identify what an operating agreement should cover

Which topic belongs in an operating agreement?

Answer: A. What happens if an owner wants to leave

Exit rules are a core part of an operating agreement.

- ✗ B. The menu for the office holiday party: not a governance topic
- ✗ C. The color scheme for the company website: branding detail
- ✗ D. Which social media app to post on first: marketing detail

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-M-Q2 · question page 507

ENT.LEGAL.07 · Identify what an operating agreement should cover

Who are the parties to an LLC's operating agreement?

Answer: C. The LLC's owners (members)

Members agree among themselves.

- ✗ A. The LLC's customers who buy its products: customers are not parties
- ✗ B. The bank that holds the business account: not a party
- ✗ D. The state that approved the LLC filing: the state is not a party

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-M-Q3 · question page 508

ENT.LEGAL.07 · Identify what an operating agreement should cover

When is the best time to write an operating agreement?

Answer: D. At the start, while owners agree

Calm early agreement prevents later disputes.

- ✗ A. Never, because it is always unnecessary: it is often valuable
- ✗ B. Only after a serious argument begins: too late for calm decisions
- ✗ C. Only if the business becomes very large: small businesses benefit too

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-M-Q4 · question page 509

ENT.LEGAL.07 · Identify what an operating agreement should cover

Two owners each own 50 percent. Which topic is especially important to settle?

Answer: B. How tie votes are broken

Equal ownership can lead to deadlocks.

✗ A. Which owner has the nicer handwriting: irrelevant

✗ C. Whose car is newer for deliveries: not governance

✗ D. Which font the invoices use: not governance

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-M-Q5 · question page 510

ENT.LEGAL.07 · Identify what an operating agreement should cover

Does a one-owner LLC ever benefit from an operating agreement?

Answer: D. Yes, it can

It documents how the LLC is run and can support the separation from the owner.

✗ A. Only if it has more than 100 employees: size is not the test

✗ B. Only if the owner changes the logo: unrelated

✗ C. No, never, under any circumstances at all: it can help

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-B1-Q1 · question page 511

ENT.LEGAL.07 · House rules for owners

An operating agreement is most like what?

Answer: A. Roommates' house rules

It sets rules for those who share something.

✗ B. A daily weather report: unrelated

✗ C. A movie ticket: unrelated

✗ D. A grocery list: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-B1-Q2 · question page 512

ENT.LEGAL.07 · House rules for owners

When are house rules easiest to write?

Answer: A. On move-in day

Early agreement is easier.

- ✗ B. During an argument: hardest
- ✗ C. Never: they help
- ✗ D. After someone moves out: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-B1-Q3 · question page 513

ENT.LEGAL.07 · House rules for owners

"What happens if someone moves out" matches which agreement topic?

Answer: B. An owner leaving the business

Exit rules cover an owner leaving.

- ✗ A. Website design: unrelated
- ✗ C. A list of product prices for the shop: unrelated
- ✗ D. Logo colors: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-B1-Q4 · question page 514

ENT.LEGAL.07 · House rules for owners

"Who pays which bills" matches what?

Answer: D. How money and responsibilities are shared

Money and duties are covered.

- ✗ A. Who designs the logo and the website: branding
- ✗ B. Who is the customer: unrelated
- ✗ C. Where to advertise: marketing

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-B1-Q5 · question page 515

ENT.LEGAL.07 · House rules for owners

"How to settle arguments" matches what?

Answer: C. Resolving disagreements between owners

Dispute rules are part of it.

- ✗ A. Hiring a designer for the brand and website: unrelated
- ✗ B. Raising prices: unrelated
- ✗ D. Choosing a domain: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F1-Q1 · question page 516

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

A two-owner LLC agreement covers ownership and profit split only. What important gap remains?

Answer: B. What happens if an owner leaves or cannot work

Exit and incapacity rules are a major gap.

- ✗ A. Holiday decorations: minor
- ✗ C. Which printer brand to buy for the office: minor
- ✗ D. The office plant schedule: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F1-Q2 · question page 517

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

Owners own 60 and 40 percent. Profits are 10,000 dollars, split by ownership. How much goes to the 40-percent owner?

Answer: A. 4,000 dollars

40 percent of 10,000 = 4,000 dollars.

- ✗ B. 400 dollars: decimal error
- ✗ C. 5,000 dollars: that is an equal split
- ✗ D. 6,000 dollars: that is the 60-percent share

Arithmetic checked by code: yes. Sources: none (stable)

S25-F1-Q3 · question page 518

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

One owner does most of the daily work but owns 30 percent. What should the agreement make clear?

Answer: C. How work is paid separately from ownership

Ownership share and pay for work can be set separately.

- ✗ A. That work and pay never need to be discussed: causes disputes
- ✗ B. That ownership must always equal hours worked: not required
- ✗ D. That the hard worker gets nothing extra ever: may not be fair

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F1-Q4 · question page 519

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

An agreement says big purchases need both owners' approval. Which purchase most clearly needs it?

Answer: A. A 20,000-dollar delivery van

A large purchase falls under the approval rule.

- ✗ B. A 3-dollar coffee: small
- ✗ C. A 5-dollar pack of pens: small
- ✗ D. A 10-dollar shipping label: small

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F1-Q5 · question page 520

ENT.LEGAL.07 · Apply it: spot gaps in an agreement

A new person wants to buy into the LLC. Where should the rules for adding owners be?

Answer: D. In the operating agreement

Admitting new members is a governance rule.

- ✗ A. In a customer invoice: unrelated
- ✗ B. On the company website: not binding
- ✗ C. In a social media post: not binding

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F2-Q1 · question page 521

ENT.LEGAL.07 · Handle the complications: disagreements and changes

Two equal owners disagree on hiring and their agreement has no tie-break rule. What is a sensible step?

Answer: A. Use a mediator or add a tie-break process both accept

A neutral process helps resolve deadlocks.

- ✗ B. Ask customers to vote: not their role
- ✗ C. Stop all business forever: too extreme
- ✗ D. Let the louder owner decide every disagreement from now on: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F2-Q2 · question page 522

ENT.LEGAL.07 · Handle the complications: disagreements and changes

An owner wants to sell her share to an outsider. The agreement gives other owners first chance to buy. What should she do first?

Answer: D. Offer her share to the other owners as the agreement requires

Follow the agreed process.

✗ A. Sell to the outsider quietly without telling the other owners: breaks the agreement

✗ B. Dissolve the LLC immediately: not required

✗ C. Ignore the agreement because it is old: it still applies

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F2-Q3 · question page 523

ENT.LEGAL.07 · Handle the complications: disagreements and changes

A template agreement from the internet does not fit the owners' real arrangement. What is the risk?

Answer: B. It may not match what they actually agreed or state law

Agreements should fit the actual business and state rules.

✗ A. Templates are illegal: not illegal

✗ C. It automatically guarantees the owners lower taxes: no

✗ D. None; any template works: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F2-Q4 · question page 524

ENT.LEGAL.07 · Handle the complications: disagreements and changes

Which detail should be checked before signing an operating agreement?

Answer: C. Whether it covers decisions, money, exits and disputes

Coverage of key topics matters most.

✗ A. Whether a competitor approves: not relevant

✗ B. Whether it is longer than ten pages, since longer is better: length is not the test

✗ D. Whether the font is attractive: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S25-F2-Q5 · question page 525

ENT.LEGAL.07 · Handle the complications: disagreements and changes

Who can help write or review an operating agreement for a complex situation?

Answer: D. A business attorney

Legal documents benefit from legal review.

- ✗ A. A social media influencer: not legal
- ✗ B. A web developer: not legal
- ✗ C. A sign maker: not legal

Arithmetic checked by code: not applicable. Sources: none (stable)

S26-M-Q1 · question page 527

ENT.LEGAL.08 · Explain what a DBA does and does not do

Maria Lopez sells cakes as "Sunny Bakes." What does a DBA filing let her do?

Answer: A. Operate under the name "Sunny Bakes"

A DBA registers a name the business uses.

- ✗ B. Turn her business into an LLC without other filings: a DBA does not create an entity
- ✗ C. Stop all others from using "Sunny Bakes" nationwide: no trademark rights
- ✗ D. Protect her house from business debts: no liability protection

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-M-Q2 · question page 528

ENT.LEGAL.08 · Explain what a DBA does and does not do

Does a DBA create a new legal entity?

Answer: B. No

A DBA is a name registration, not an entity.

- ✗ A. Yes, it creates a corporation: it does not
- ✗ C. Only for partnerships: it never does
- ✗ D. Yes, it creates an LLC: it does not

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-M-Q3 · question page 529

ENT.LEGAL.08 · Explain what a DBA does and does not do

Which is another common term for a DBA?

Answer: C. Trade name

Trade name, assumed name and fictitious name are similar terms.

- ✗ A. Registered agent: a role
- ✗ B. Articles of organization: LLC formation papers
- ✗ D. Operating agreement: owners' agreement

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-M-Q4 · question page 530

ENT.LEGAL.08 · Explain what a DBA does and does not do

Where is a DBA filed?

Answer: D. It depends on the location: state, county or city

Filing location varies.

- ✗ A. Always with the IRS only, in every location: not typical
- ✗ B. Always with a bank: banks may ask for it but do not file it
- ✗ C. Never anywhere: many places require it

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-M-Q5 · question page 531

ENT.LEGAL.08 · Explain what a DBA does and does not do

Which is TRUE about a DBA?

Answer: B. It does not give liability protection.

A DBA is only a name registration.

- ✗ A. It replaces a business license.: separate requirement
- ✗ C. It gives trademark rights everywhere.: it does not
- ✗ D. It shields personal savings.: it does not

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-B1-Q1 · question page 532

ENT.LEGAL.08 · A name tag, not a new person

A DBA is most like what?

Answer: D. A name tag

It is just a name used publicly.

- ✗ A. A shield: no protection
- ✗ B. A trademark certificate: not trademark rights
- ✗ C. A new person: it is the same business

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-B1-Q2 · question page 533

ENT.LEGAL.08 · A name tag, not a new person

Robert wearing a "Coach Bob" tag is still who?

Answer: A. Robert

The name changes; the person does not.

- ✗ B. A company: no
- ✗ C. No one: he is Robert

✗ D. A new person named Bob: same person

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-B1-Q3 · question page 534

ENT.LEGAL.08 · A name tag, not a new person

Does a business with a DBA change its legal form?

Answer: C. No

The legal form stays the same.

✗ A. Yes, always: it does not
✗ B. Only for LLCs: never
✗ D. Only on weekends: no

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-B1-Q4 · question page 535

ENT.LEGAL.08 · A name tag, not a new person

Does a DBA give special protection?

Answer: D. No

It is only a name.

✗ A. Yes, from lawsuits: no
✗ B. Yes, from debts: no
✗ C. Yes, from taxes: no

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-B1-Q5 · question page 536

ENT.LEGAL.08 · A name tag, not a new person

What does a DBA tell customers?

Answer: B. What name the business uses

It is the public-facing name.

- ✗ A. The owner's salary: unrelated
- ✗ C. Who the owner's doctor is: unrelated
- ✗ D. The bank balance: unrelated

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F1-Q1 · question page 537

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

Lee, a sole proprietor, opens a bank account for "Lee's Lawns." The bank asks for a DBA certificate. Why?

Answer: A. The business name differs from Lee's legal name

Banks often require proof the business may use that name.

- ✗ B. Because banks issue DBAs: banks do not issue them
- ✗ C. Because a DBA replaces the owner's driver's license: no
- ✗ D. Because it creates an LLC: it does not

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F1-Q2 · question page 538

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

Which business most likely needs a DBA?

Answer: A. "Green Path LLC" selling under the name "Fresh Bowls"

Using a different name usually needs a DBA where required.

- ✗ B. "Green Path LLC" selling only as "Green Path LLC": same as legal name
- ✗ C. Jane Smith selling as "Jane Smith": same as legal name
- ✗ D. A business with no name at all: unusual case

Arithmetic checked by code: not applicable. Sources: uspto_name

S26-F1-Q3 · question page 539

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

A sole proprietor files a DBA to look more official. What does she still lack?

Answer: D. Liability protection

A DBA adds a name, not protection.

- ✗ A. Customers: unrelated
- ✗ B. Permission to sell: licenses are separate, but she has the name
- ✗ C. A business name to use: she has one

Arithmetic checked by code: not applicable. Sources: uspto_name

S26-F1-Q4 · question page 540

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

A DBA filing costs 25 dollars and must be renewed every 5 years. How much is spent on it over 15 years, assuming the same fee?

Answer: A. 75 dollars

3 filings x 25 dollars = 75 dollars (fees are example assumptions).

- ✗ B. 25 dollars: only the first filing
- ✗ C. 375 dollars: multiplies wrongly
- ✗ D. 15 dollars: not the fee

Arithmetic checked by code: yes. Sources: uspto_name

S26-F1-Q5 · question page 541

ENT.LEGAL.08 · Apply it: when a DBA is needed and what it changes

Which step would actually give some liability protection?

Answer: B. Forming an LLC or corporation

Entity formation, not a DBA, aims at liability separation.

✗ A. Filing a DBA: no protection

✗ C. Buying a domain: no protection

✗ D. Ordering business cards with "LLC": no protection

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F2-Q1 · question page 542

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

An owner believes his DBA means no one else can use "River Tees." What should he check?

Answer: A. Trademark records and whether anyone else already uses the name

A DBA does not give trademark rights.

✗ B. Only his domain registrar: not enough

✗ C. Nothing; the DBA protects the name everywhere in the nation: false

✗ D. Only his county website: not enough

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F2-Q2 · question page 543

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

A business uses a DBA in two counties. What should the owner check?

Answer: B. Whether each county requires its own filing

Filing rules vary by place.

✗ A. Whether the logo needs a DBA: no

✗ C. Whether one filing covers every country in the world: no

✗ D. Whether DBAs are illegal: they are legal

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F2-Q3 · question page 544

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

A customer contract is signed only as "Fresh Bowls" with no legal name. What is the risk?

Answer: C. Confusion about which legal entity is responsible

Showing the legal name with the DBA reduces confusion.

- ✗ A. None at all: confusion is possible
- ✗ B. It cancels the DBA: no
- ✗ D. Signing as Fresh Bowls creates a new LLC called Fresh Bowls: no

Arithmetic checked by code: not applicable. Sources: uspto_name

---

S26-F2-Q4 · question page 545

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

A founder plans: "File DBA, then sell food from home." What else must be checked?

Answer: D. Licenses, permits and local rules for selling food

Selling food usually involves separate rules; a DBA is only a name.

- ✗ A. Only the font and layout of the printed DBA certificate: no
- ✗ B. Nothing; the DBA is enough: no
- ✗ C. Only competitor prices: not the key gap

Arithmetic checked by code: not applicable. Sources: uspto_name

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S26-F2-Q5 · question page 546

ENT.LEGAL.08 · Handle the complications: DBA myths and checks

Which statement is accurate?

Answer: A. A DBA can be useful, but it is only a registered name.

A DBA has a narrow purpose.

- ✗ B. A DBA lowers taxes.: no
- ✗ C. A DBA is a trademark.: no
- ✗ D. A DBA replaces the need to form an LLC for protection.: no

Arithmetic checked by code: not applicable. Sources: uspto_name

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S27-M-Q1 · question page 548

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

What is a personal guarantee?

Answer: A. A promise to pay a business debt yourself if the business cannot

It makes you personally responsible for that debt.

- ✗ B. A promise by the bank to lend you more money later: not what it is
- ✗ C. A guarantee that the business will make a profit this year: not what it is
- ✗ D. A warranty you give customers on a product: different meaning

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-M-Q2 · question page 549

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

An LLC owner signed a personal guarantee on the shop lease. The business closes. Who may owe the rest of the lease?

Answer: C. The owner personally

The guarantee makes the owner responsible.

- ✗ A. The state: no
- ✗ B. Only the landlord: the landlord is owed
- ✗ D. No one, because the LLC closed: the guarantee remains

Arithmetic checked by code: not applicable. Sources: sba_structure

---

S27-M-Q3 · question page 550

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

Why do lenders often ask new owners for guarantees?

Answer: D. New businesses have little history.

Lenders want someone with a track record responsible.

- ✗ A. Because LLCs cannot sign contracts.: they can
- ✗ B. Because guarantees are required by every state.: not a universal law
- ✗ C. Because guarantees lower the owner's taxes.: unrelated

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-M-Q4 · question page 551

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

Where can a personal guarantee sometimes hide?

Answer: B. Inside a long application or contract

Read long forms carefully.

- ✗ A. Only on billboards outside the bank: no
- ✗ C. Only in the company logo: no
- ✗ D. Only in social media ads: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-M-Q5 · question page 552

ENT.LEGAL.09 · Recognize personal guarantees and how they bypass limited liability

Before signing a guarantee, what should an owner ask?

Answer: C. Could I pay this amount personally if needed?

Consider the personal risk.

- ✗ A. Will signing this make my company logo look better?: irrelevant
- ✗ B. How fast can I sign?: speed is not the point
- ✗ D. Is the paper a nice color?: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-B1-Q1 · question page 553

ENT.LEGAL.09 · Co-signing for a friend

Co-signing means what?

Answer: D. You may have to pay if the main borrower does not

The co-signer backs the debt.

- ✗ A. You get a free phone: no
- ✗ B. You own the company: no
- ✗ C. You can never be asked to pay anything at all: you can

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-B1-Q2 · question page 554

ENT.LEGAL.09 · Co-signing for a friend

A personal guarantee is like co-signing for whom?

Answer: B. Your own business

You back your company's debt.

- ✗ A. A competitor down the street: no
- ✗ C. A stranger: no
- ✗ D. The bank: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-B1-Q3 · question page 555

ENT.LEGAL.09 · Co-signing for a friend

If the LLC cannot pay a guaranteed debt, who may pay?

Answer: D. The person who signed the guarantee

The guarantor pays.

- ✗ A. The state: no
- ✗ B. The business's regular customers: no

✗ C. Nobody: someone owes it

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-B1-Q4 · question page 556

ENT.LEGAL.09 · Co-signing for a friend

Who is the main borrower on a business loan with a guarantee?

Answer: B. The business

The business borrows; the guarantor backs it.

✗ A. The guarantor only: the business borrows
✗ C. The landlord: no
✗ D. The bank: the bank lends

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-B1-Q5 · question page 557

ENT.LEGAL.09 · Co-signing for a friend

Does an LLC stop a guarantor from having to pay?

Answer: A. No

The guarantee is personal.

✗ B. Only in summer: no
✗ C. Only if small: no
✗ D. Yes, always: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F1-Q1 · question page 558

ENT.LEGAL.09 · Apply it: read offers that include guarantees

A supplier offers 30-day payment terms if the owner signs a personal guarantee up to 5,000 dollars. The owner has 1,000 dollars in savings. What is the main concern?

Answer: B. She could owe more than she could personally pay

A 5,000-dollar guarantee exceeds her 1,000 dollars of savings.

- ✗ A. Payment terms are always free of risk: not with a guarantee
- ✗ C. Guarantees only apply to big companies: no
- ✗ D. The supplier will never actually ask anyone for payment: they may

Arithmetic checked by code: yes. Sources: sba_structure

S27-F1-Q2 · question page 559

ENT.LEGAL.09 · Apply it: read offers that include guarantees

Two lease offers: A requires a personal guarantee; B costs 100 dollars more a month with no guarantee. The owner's priority is protecting her house. Which fits her priority?

Answer: C. Offer B, without the guarantee

Avoiding the guarantee protects personal assets.

- ✗ A. Offer A, because it is cheaper: it adds personal risk
- ✗ B. Neither, because all leases require guarantees: not true here
- ✗ D. Offer A, because guarantees never get used: they can be used

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F1-Q3 · question page 560

ENT.LEGAL.09 · Apply it: read offers that include guarantees

A loan application has a page titled "Unconditional Guaranty." What should the owner do?

Answer: A. Read it and ask what it covers before signing

Understanding the guarantee is essential.

- ✗ B. Ignore it because it is a standard form: it matters
- ✗ C. Cross it out without telling the lender: not an agreement
- ✗ D. Sign quickly so the loan closes faster: risky

Arithmetic checked by code: not applicable. Sources: sba_structure

S27-F1-Q4 · question page 561

ENT.LEGAL.09 · Apply it: read offers that include guarantees

A guarantee covers a 12,000-dollar loan. The business repays 9,000 dollars and then closes. How much might the guarantor owe, ignoring interest and fees?

Answer: C. 3,000 dollars

12,000 - 9,000 = 3,000 dollars remaining.

- ✗ A. 0 dollars: a balance remains
- ✗ B. 9,000 dollars: that was repaid
- ✗ D. 12,000 dollars: ignores repayments

Arithmetic checked by code: yes. Sources: sba_structure

S27-F1-Q5 · question page 562

ENT.LEGAL.09 · Apply it: read offers that include guarantees

Which action can reduce guarantee risk?

Answer: C. Negotiating a limit or a time period on the guarantee

Limits and time periods can reduce exposure.

- ✗ A. Hiding the guarantee from a business partner so they do not worry: unfair
- ✗ B. Ignoring the amount: risky
- ✗ D. Signing several guarantees at once: increases risk

Arithmetic checked by code: not applicable. Sources: sba_structure

S27-F2-Q1 · question page 563

ENT.LEGAL.09 · Handle the complications: guarantees and partners

Two partners own an LLC equally. Only one signs a personal guarantee. What should the partners discuss?

Answer: D. How they will share that risk fairly

Uneven personal risk should be addressed in their agreement.

- ✗ A. Whether to change the logo: unrelated
- ✗ B. Nothing; guarantees are always shared automatically: not automatically
- ✗ C. Whether to stop keeping records: harmful

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F2-Q2 · question page 564

ENT.LEGAL.09 · Handle the complications: guarantees and partners

An owner says, "I have an LLC, so the guarantee does not matter." What is wrong?

Answer: B. The guarantee makes her personally responsible despite the LLC

A personal guarantee bypasses limited liability for that debt.

- ✗ A. Guarantees expire when signed: no
- ✗ C. Personal guarantees are illegal for anyone who owns an LLC: no
- ✗ D. Nothing; the LLC overrides it: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F2-Q3 · question page 565

ENT.LEGAL.09 · Handle the complications: guarantees and partners

Which missing information should be checked before signing a guarantee?

Answer: A. The maximum amount and how long it lasts

Amount and duration define the risk.

- ✗ B. How many employees the lender has: irrelevant
- ✗ C. The lender's office paint color: irrelevant
- ✗ D. Whether the lender likes your logo: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_structure

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S27-F2-Q4 · question page 566

ENT.LEGAL.09 · Handle the complications: guarantees and partners

A business owner's spouse is asked to sign a guarantee too. What should the spouse understand?

Answer: D. Their personal assets could also be used for the debt

Anyone who signs can be personally responsible.

- ✗ A. Spouses can never be responsible: they can if they sign
- ✗ B. Signing only helps the credit score: it creates liability
- ✗ C. It is just a formality that has no legal effect on the spouse: it has effect

Arithmetic checked by code: not applicable. Sources: sba_structure

---

S27-F2-Q5 · question page 567

ENT.LEGAL.09 · Handle the complications: guarantees and partners

Who is the best person to review a large guarantee before signing?

Answer: C. A business attorney

Independent legal advice helps.

- ✗ A. A social media follower: not qualified
- ✗ B. The lender only: they represent the lender
- ✗ D. A graphic designer: not qualified

Arithmetic checked by code: not applicable. Sources: sba_structure

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S28-M-Q1 · question page 569

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

Lucy wants to sell homemade baked goods from her kitchen. What should she check?

Answer: A. Local and state rules for selling food made at home

Food sales often have specific rules.

- ✗ B. Only whether her friends and neighbors like her cookies: not a legal check

✗ C. Only how to post on social media: not a legal check

✗ D. Only the price of flour at the store: not a legal check

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S28-M-Q2 · question page 570

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

What do zoning rules decide?

Answer: D. What activities are allowed at a location

Zoning is about land use and location.

✗ A. Which colors a business logo may use: not zoning

✗ B. How much tax the owner pays each year: not zoning

✗ C. Which bank the business must use: not zoning

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S28-M-Q3 · question page 571

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

Which job most likely needs a professional license?

Answer: C. Electrical wiring in customers' homes

Electrical work commonly needs a license.

✗ A. Dog photography at a park: usually no professional license

✗ B. Writing a personal blog for fun: not a business license issue

✗ D. Selling greeting cards online: usually no special license

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-M-Q4 · question page 572

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

Who sets licensing and permit rules?

Answer: C. It depends: city, county, state and sometimes federal agencies

Several levels can apply.

- ✗ A. Only the business owner's friends: no
- ✗ B. Only the bank that holds the account: no
- ✗ D. Only the federal government, for every business in the country: too narrow

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S28-M-Q5 · question page 573

ENT.LEGAL.10 · Identify which permissions to check for an activity and place

A tenant wants to run a business from an apartment. What else besides city rules should she check?

Answer: D. Her lease terms

Leases can limit business use.

- ✗ A. The weather forecast: irrelevant
- ✗ B. Her favorite restaurant's hours: irrelevant
- ✗ C. A competitor's logo: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-B1-Q1 · question page 574

ENT.LEGAL.10 · Permission slips

A general business license is like which permission slip?

Answer: B. Permission to operate at all

It is broad permission.

- ✗ A. Permission to drive a car: that is personal
- ✗ C. Permission to skip class: unrelated
- ✗ D. Permission to change a logo: not needed

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S28-B1-Q2 · question page 575

ENT.LEGAL.10 · Permission slips

A food permit covers what?

Answer: A. A specific activity: selling food

Permits cover specific activities.

- ✗ B. The owner's taxes: unrelated
- ✗ C. The company name: unrelated
- ✗ D. All business activity everywhere: too broad

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S28-B1-Q3 · question page 576

ENT.LEGAL.10 · Permission slips

Zoning approval is about what?

Answer: B. Whether the location allows the activity

Zoning concerns the place.

- ✗ A. The owner's education level and degrees: no
- ✗ C. The website design: no
- ✗ D. The product's price: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-B1-Q4 · question page 577

ENT.LEGAL.10 · Permission slips

A hair stylist's license is which kind?

Answer: D. A personal professional license

It applies to the person doing the work.

✗ A. A zoning rule for the salon: no

✗ B. A trademark: no

✗ C. A DBA: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-B1-Q5 · question page 578

ENT.LEGAL.10 · Permission slips

Who issues each permission?

Answer: A. The group in charge of that rule

Each authority issues its own permission.

✗ B. The business owner alone, by choice: no

✗ C. Competitors: no

✗ D. Customers: no

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S28-F1-Q1 · question page 579

ENT.LEGAL.10 · Apply it: make a permissions checklist

Sam wants to run a home-based tutoring business with students visiting 4 evenings a week. Which checks fit best?

Answer: D. City business license, zoning limits on home visits, and his lease or HOA rules

Visits to a home business can trigger zoning and lease rules.

✗ A. Only a trademark search: not the main permission

✗ B. Only a social media account to advertise the tutoring sessions to local families: not a permission

✗ C. Only a food permit: he is not selling food

Arithmetic checked by code: not applicable. Sources: sba_launch

S28-F1-Q2 · question page 580

ENT.LEGAL.10 · Apply it: make a permissions checklist

A food truck plans to sell in two cities. What should the owner check?

Answer: B. Each city's permits and rules

Each city may have its own permits.

- ✗ A. Nothing, trucks are always exempt: no
- ✗ C. Only the truck's paint color: irrelevant
- ✗ D. One city's rules, since all cities match: they differ

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S28-F1-Q3 · question page 581

ENT.LEGAL.10 · Apply it: make a permissions checklist

A city charges 50 dollars for a business license and 120 dollars for a sign permit. What is the total for both?

Answer: A. 170 dollars

50 + 120 = 170 dollars (example fees).

- ✗ B. 120 dollars: only the sign permit
- ✗ C. 70 dollars: the difference
- ✗ D. 50 dollars: only the license

Arithmetic checked by code: yes. Sources: sba_launch

S28-F1-Q4 · question page 582

ENT.LEGAL.10 · Apply it: make a permissions checklist

An online-only digital product seller works from home with no visitors. Which check is still sensible?

Answer: B. Whether the city or state requires a general business license or registration

Even online businesses may need general registration where they are based.

✗ A. A liquor license: not relevant

✗ C. A food handler permit and a restaurant health inspection for the home kitchen: not relevant

✗ D. A construction permit: not relevant

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S28-F1-Q5 · question page 583

ENT.LEGAL.10 · Apply it: make a permissions checklist

Where is the best place to find local requirements?

Answer: A. The city or county government's business office or website

Official local sources give current requirements.

✗ B. A random forum post: unreliable

✗ C. A competitor: unreliable

✗ D. The comment section under a video about business licenses: unreliable

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-F2-Q1 · question page 584

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

A friend says, "Home businesses never need permits." What is wrong with this?

Answer: B. Rules depend on the activity and location

Many home businesses need registration or permits.

✗ A. Nothing; it is always true: false

✗ C. Only big businesses exist: false

✗ D. Home businesses are illegal everywhere: false

Arithmetic checked by code: not applicable. Sources: sba_launch

S28-F2-Q2 · question page 585

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

A dog groomer's city allows home businesses, but her homeowner association bans customer visits. What should she do?

Answer: C. Follow both sets of rules or find another location

Private association rules can add limits beyond city rules.

- ✗ A. Assume rules never get enforced: risky
- ✗ B. Ask customers to keep visits secret: not honest
- ✗ D. Ignore the association because the city allows it: both can apply

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-F2-Q3 · question page 586

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

Which missing check is the biggest risk in this plan? "Rent a shop, print signs, open next week."

Answer: C. Whether zoning and permits allow this use at the shop

Opening without allowed use and permits can force closure.

- ✗ A. Whether the printed signs are colorful enough to attract walkers: minor
- ✗ B. Whether competitors are nearby: not a permission
- ✗ D. Whether the website loads fast: minor

Arithmetic checked by code: not applicable. Sources: sba_launch

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S28-F2-Q4 · question page 587

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

A license must be renewed each year. What is a sensible habit?

Answer: A. Put renewal dates on a deadline calendar

Tracking renewals avoids lapses.

✗ B. Wait for a reminder that may never come: risky

✗ C. Assume one license lasts forever: often false

✗ D. Renew only if inspected: not compliant

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S28-F2-Q5 · question page 588

ENT.LEGAL.10 · Handle the complications: assumptions about home businesses

Which statement is accurate for this course?

Answer: A. Rules vary by place, so check the official sources where you operate.

Jurisdiction matters.

✗ B. New Jersey's rules apply the same way everywhere in the US.: no single state's rules apply everywhere

✗ C. Federal rules replace all local rules.: not true

✗ D. No business needs any permission.: false

Arithmetic checked by code: not applicable. Sources: sba_launch

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S29-M-Q1 · question page 590

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

Which professional best fits a question about a confusing lease clause?

Answer: C. An attorney

Lease clauses are legal questions.

✗ A. A graphic designer who made the logo: not legal

✗ B. A social media manager: not legal

✗ D. A delivery driver: not legal

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-M-Q2 · question page 591

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

Which professional best fits a question about whether to make a tax election?

Answer: B. An accountant or tax professional

Tax elections are tax questions.

- ✗ A. A web developer who builds websites: not tax
- ✗ C. A sign maker: not tax
- ✗ D. A florist: not tax

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-M-Q3 · question page 592

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

When is professional help most worth paying for?

Answer: B. When stakes are high and mistakes are hard to undo

High stakes justify expert help.

- ✗ A. When ordering pens: low stakes
- ✗ C. When picking a lunch spot: irrelevant
- ✗ D. When choosing a font for the business's social media posts: low stakes

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-M-Q4 · question page 593

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

What is a good way to prepare for a meeting with an expert?

Answer: D. Write questions and bring documents

Preparation saves time and money.

- ✗ A. Arrive with no questions to save time: wastes time
- ✗ B. Avoid asking about fees: fees matter

✗ C. Bring only a logo sketch: not enough

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-M-Q5 · question page 594

ENT.LEGAL.11 · Decide when a question needs a professional and prepare

Which professional helps match coverage to business risks?

Answer: D. An insurance agent or broker

Insurance professionals match coverage to risks.

✗ A. A trademark examiner at the agency: no
✗ B. A banker: not insurance
✗ C. A copywriter: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-B1-Q1 · question page 595

ENT.LEGAL.11 · Matching the question to the expert

A contract question goes to whom?

Answer: D. An attorney

Contracts are legal.

✗ A. A designer: not legal
✗ B. An accountant: tax
✗ C. An insurance agent: coverage

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-B1-Q2 · question page 596

ENT.LEGAL.11 · Matching the question to the expert

A tax question goes to whom?

Answer: C. An accountant or tax professional

Taxes go to a tax professional.

- ✗ A. A dentist: no
- ✗ B. An attorney only, never anyone else: tax pro fits better
- ✗ D. A designer: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-B1-Q3 · question page 597

ENT.LEGAL.11 · Matching the question to the expert

An insurance coverage question goes to whom?

Answer: D. An insurance agent

Coverage goes to an insurance professional.

- ✗ A. A chef: no
- ✗ B. A tutor: no
- ✗ C. A store cashier: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-B1-Q4 · question page 598

ENT.LEGAL.11 · Matching the question to the expert

Why match the question to the expert?

Answer: B. To get a better answer faster

The right expert answers best.

- ✗ A. To avoid all advice: no
- ✗ C. To confuse the expert on purpose: no
- ✗ D. To pay more: not the goal

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-B1-Q5 · question page 599

ENT.LEGAL.11 · Matching the question to the expert

A dentist for teeth is like what for a lease dispute?

Answer: A. An attorney

Legal disputes go to an attorney.

- ✗ B. A house painter: no
- ✗ C. A baker: no
- ✗ D. A coach: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F1-Q1 · question page 600

ENT.LEGAL.11 · Apply it: decide whether to get help now

Mia is about to sign a 5-year commercial lease with a personal guarantee. What is the best step?

Answer: A. Have an attorney review it before signing

A long lease with a guarantee is high stakes.

- ✗ B. Ask a friend who once rented an apartment: not equivalent
- ✗ C. Sign quickly before the landlord changes his mind: risky
- ✗ D. Skip reading the guarantee page: risky

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F1-Q2 · question page 601

ENT.LEGAL.11 · Apply it: decide whether to get help now

Jon needs to choose a font for his flyers. Does he need an attorney?

Answer: C. No, this is a low-stakes design choice

Low-stakes choices rarely need legal help (though licensed font use matters).

- ✗ A. Yes, attorneys design flyers: no
- ✗ B. Yes, every decision needs an attorney: too costly

✗ D. Yes, fonts are legal contracts: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F1-Q3 · question page 602

ENT.LEGAL.11 · Apply it: decide whether to get help now

An attorney charges 200 dollars an hour. A lease review takes 1.5 hours. What is the cost?

Answer: A. 300 dollars

200 x 1.5 = 300 dollars (example rate).

✗ B. 201.5 dollars: adds instead of multiplying
✗ C. 200 dollars: one hour
✗ D. 400 dollars: two hours

Arithmetic checked by code: yes. Sources: sba_structure

S29-F1-Q4 · question page 603

ENT.LEGAL.11 · Apply it: decide whether to get help now

Which question is best brought to a tax professional?

Answer: C. How to plan estimated tax payments for a new business

Estimated tax planning is a tax question.

✗ A. Which supplier has nicer boxes: not tax
✗ B. How to write an Instagram caption: not tax
✗ D. Which color to paint the shop's front door this spring: not tax

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F1-Q5 · question page 604

ENT.LEGAL.11 · Apply it: decide whether to get help now

A founder can afford only one paid consultation this month. Which use is most valuable?

Answer: A. Reviewing the partnership agreement before both partners sign

A binding agreement between owners is high stakes.

- ✗ B. Naming a product flavor: low stakes
- ✗ C. Picking a nice email signature for every message she sends: low stakes
- ✗ D. Choosing a logo color: low stakes

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F2-Q1 · question page 605

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

A free online article explains LLC rules but is from another state and five years old. What is the limit?

Answer: D. It may not match current rules where you operate

Location and date matter for legal information.

- ✗ A. It fully replaces all professional advice for every owner: no
- ✗ B. Articles can never be useful: they can help
- ✗ C. It is always perfectly accurate: not necessarily

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F2-Q2 · question page 606

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

A founder asks a lawyer friend casually at a party about a lawsuit threat. What is the concern?

Answer: C. Casual answers may be incomplete; a proper consultation is safer

Serious issues need proper advice with full facts.

- ✗ A. The lawsuit will disappear: no
- ✗ B. Lawyers never answer questions: they do
- ✗ D. No concern; advice given at a party is binding and complete: not reliable

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F2-Q3 · question page 607

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

Before hiring an accountant, which question should the owner ask?

Answer: B. What the fee is and what is included

Fees and scope prevent surprises.

- ✗ A. Whether the accountant uses social media: irrelevant
- ✗ C. Whether the accountant likes the logo: irrelevant
- ✗ D. What the accountant's favorite movie is: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F2-Q4 · question page 608

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

A founder uses an AI tool to draft a contract. What is the sensible next step for an important deal?

Answer: C. Have a qualified professional review it

AI drafts need human professional review for important matters.

- ✗ A. Assume AI drafts are legally verified: they are not
- ✗ B. Sign it as written: AI can make errors
- ✗ D. Delete all contracts: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S29-F2-Q5 · question page 609

ENT.LEGAL.11 · Handle the complications: free help, limits and preparation

Which statement fits this course?

Answer: B. Education explains what to check; individual decisions may need professional advice.

The course teaches what to check and why.

- ✗ A. Professionals are never needed.: sometimes they are

✗ C. Every question needs a lawyer.: too costly and unnecessary

✗ D. This course gives each learner individual legal advice for their own business.: it does not

Arithmetic checked by code: not applicable. Sources: sba_structure

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S30-M-Q1 · question page 611

ENT.ID.01 · Explain what an EIN is and who usually needs one

What is an EIN?

Answer: D. A federal tax ID number for a business

The IRS issues EINs to identify businesses for federal taxes.

✗ A. A registered trademark for a business name: trademarks are separate

✗ B. A credit score assigned to new businesses: not a credit score

✗ C. A state license that lets a business sell food: that is a permit

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-M-Q2 · question page 612

ENT.ID.01 · Explain what an EIN is and who usually needs one

Which agency issues EINs?

Answer: A. The IRS

The IRS is the federal tax agency.

✗ B. The US Postal Service: it handles mail

✗ C. The patent and trademark office: it handles trademarks

✗ D. The state's business licensing office: states issue other IDs

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-M-Q3 · question page 613

ENT.ID.01 · Explain what an EIN is and who usually needs one

How much does the IRS charge for an EIN?

Answer: C. Nothing; it is free

The IRS states you never have to pay a fee for an EIN.

- ✗ A. A fee set by each county: the EIN is federal and free
- ✗ B. A 50-dollar filing fee paid online: the IRS says there is no fee
- ✗ D. A yearly fee based on sales: there is no fee

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-M-Q4 · question page 614

ENT.ID.01 · Explain what an EIN is and who usually needs one

Which business most clearly needs an EIN?

Answer: B. A shop that hires its first employee

Hiring employees is a common reason an EIN is required.

- ✗ A. A person who only buys from businesses: a customer, not a business
- ✗ C. A child selling lemonade one afternoon: not a formal business
- ✗ D. A hobby blogger who earns no money at all: not a business with tax needs

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-M-Q5 · question page 615

ENT.ID.01 · Explain what an EIN is and who usually needs one

Why might a sole proprietor with no employees still get an EIN?

Answer: C. To give clients an EIN instead of her SSN

An EIN can keep her Social Security number more private.

- ✗ A. Because it automatically creates an LLC for her: it does not create an entity
- ✗ B. Because it protects her house from business debts: no liability protection

✗ D. Because it removes the need to pay income tax: taxes still apply

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-B1-Q1 · question page 616

ENT.ID.01 · An ID number for the business

An EIN is most like which of these?

Answer: D. A student ID number

It identifies the business.

✗ A. A shop's front sign: not an ID
✗ B. A house key: not an ID
✗ C. A bank loan: not an ID

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-B1-Q2 · question page 617

ENT.ID.01 · An ID number for the business

A person's tax ID is usually what?

Answer: D. A Social Security number

People use an SSN for taxes.

✗ A. A home street address: not a tax ID
✗ B. A zip code: not a tax ID
✗ C. A phone number: not a tax ID

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-B1-Q3 · question page 618

ENT.ID.01 · An ID number for the business

What does the EIN tell the IRS?

Answer: C. Which business the records belong to

It matches records to the business.

- ✗ A. Where to buy supplies: no
- ✗ B. How good the products are: no
- ✗ D. The owner's favorite color and hobbies: no

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-B1-Q4 · question page 619

ENT.ID.01 · An ID number for the business

Does an EIN protect the owner from debts?

Answer: D. No, it is only an ID number

It does not change liability.

- ✗ A. Yes, but only for LLC owners: no
- ✗ B. Yes, from every debt: no
- ✗ C. Yes, in every state: no

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-B1-Q5 · question page 620

ENT.ID.01 · An ID number for the business

When might a bank ask for an EIN?

Answer: C. When opening a business bank account

Banks often ask for it.

- ✗ A. When checking the weather: no
- ✗ B. When paying at a city parking meter: no
- ✗ D. When buying a coffee: no

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F1-Q1 · question page 621

ENT.ID.01 · Apply it: decide whether to get an EIN

Dee runs a one-person bookkeeping service as a sole proprietor. Clients ask for a tax ID on forms. She does not want to share her SSN widely. What fits?

Answer: B. Get a free EIN and give clients that number

A free EIN can be used instead of her SSN.

- ✗ A. Refuse all clients who ask for a tax ID: loses business unnecessarily
- ✗ C. Make up a nine-digit number for the forms: false information
- ✗ D. Pay a website 200 dollars, believing it is required: the EIN is free from the IRS

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F1-Q2 · question page 622

ENT.ID.01 · Apply it: decide whether to get an EIN

Raj is hiring two part-time workers for his food truck. What should he get?

Answer: C. An EIN from the IRS

Employers need an EIN.

- ✗ A. Only a trademark for the truck's name: not a tax ID
- ✗ B. Only a new business email address: not a tax ID
- ✗ D. Only a PO Box for mail: not a tax ID

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F1-Q3 · question page 623

ENT.ID.01 · Apply it: decide whether to get an EIN

Which statement about an EIN is accurate?

Answer: A. It identifies the business for federal taxes.

Its purpose is federal tax identification.

- ✗ B. It means the business has trademark rights.: separate

✗ C. It is issued by the bank that holds the account.: the IRS issues it

✗ D. It replaces the business license from the city.: licenses are separate

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F1-Q4 · question page 624

ENT.ID.01 · Apply it: decide whether to get an EIN

An EIN has how many digits?

Answer: B. Nine

An EIN is a nine-digit number.

✗ A. Twelve: not the format

✗ C. Four: not the format

✗ D. Six: not the format

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F1-Q5 · question page 625

ENT.ID.01 · Apply it: decide whether to get an EIN

Lena formed a two-owner LLC with her brother. What is the most likely situation?

Answer: D. The LLC will usually need an EIN

Multi-member LLCs are generally partnerships for tax and need an EIN.

✗ A. The LLC can never have an EIN: false

✗ B. Each owner must use the other's SSN: false

✗ C. The LLC uses the state's phone number as its ID: false

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F2-Q1 · question page 626

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

A website charges 250 dollars to "obtain your EIN." What should a founder know?

Answer: C. The IRS gives EINs for free

Third parties may charge, but the IRS does not.

- ✗ A. Paying more gives a better EIN: no such thing
- ✗ B. The 250 dollars is the IRS's official fee: there is no IRS fee
- ✗ D. Only paid websites can request EINs: the IRS accepts direct applications

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F2-Q2 · question page 627

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

An owner thinks getting an EIN means she now has an LLC. What is the error?

Answer: A. An EIN is a tax ID, not a legal entity

Entities are formed with the state.

- ✗ B. There is no error; EINs create LLCs: false
- ✗ C. EINs end the business's tax duties: false
- ✗ D. EINs are only for corporations: false

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F2-Q3 · question page 628

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

A sole proprietor shares her EIN on an invoice. Compared with sharing her SSN, what is the benefit?

Answer: B. Her Social Security number stays more private

The EIN limits SSN exposure.

- ✗ A. Her invoices become legally binding contracts: not how invoices work
- ✗ C. She pays no income tax at all: false
- ✗ D. Her business turns into a corporation: false

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F2-Q4 · question page 629

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

Which source is best to confirm whether a business needs an EIN?

Answer: C. The IRS website

The IRS is the official source.

- ✗ A. A competitor's guess: unreliable
- ✗ B. A comment on a social media post: unreliable
- ✗ D. An old flyer from a print shop: unreliable

Arithmetic checked by code: not applicable. Sources: irs_ein

S30-F2-Q5 · question page 630

ENT.ID.01 · Handle the complications: fees, privacy and misunderstandings

An owner loses track of her EIN. What is a sensible first step?

Answer: D. Check earlier IRS letters or bank and tax records

The number appears on earlier official records.

- ✗ A. Use a random nine-digit number on forms until she finds it: false information
- ✗ B. Stop filing taxes until it turns up: creates problems
- ✗ C. Apply for many new EINs right away: creates confusion

Arithmetic checked by code: not applicable. Sources: irs_ein

S31-M-Q1 · question page 632

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

Where should an owner apply for an EIN to avoid unnecessary fees?

Answer: C. Directly with the IRS

Applying directly is free.

- ✗ A. Through the city hall front desk: not the issuer
- ✗ B. Through any website that appears first in an ad: may charge fees
- ✗ D. Through the business's bank teller: the IRS issues EINs

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-M-Q2 · question page 633

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

What is the "responsible party" on the application?

Answer: A. An individual who controls the business

It is a person in control.

- ✗ B. Any customer who bought something from the business: customers do not control it
- ✗ C. The state office that approved the LLC: not the controller
- ✗ D. The bank that will hold the business account: not a person in control

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-M-Q3 · question page 634

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

What must the responsible party have for the online application?

Answer: B. An SSN or ITIN

The online form requires an SSN or ITIN.

- ✗ A. A college degree in business: not required
- ✗ C. A business credit card with a high limit: not required
- ✗ D. A registered trademark for the name: not required

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

S31-M-Q4 · question page 635

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

An owner is forming an LLC. What order does the IRS advise?

Answer: D. Form the LLC with the state, then apply for the EIN

Form the entity first to avoid delays.

- ✗ A. Apply for the EIN, then decide on a business later: may cause delays
- ✗ B. Print invoices, then decide on the business form: not the advised order
- ✗ C. Open a bank account, then form the LLC years later: banks need the entity papers

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

S31-M-Q5 · question page 636

ENT.ID.02 · Apply for an EIN through the official IRS source in the right order

What does the IRS say about completing the online application?

Answer: A. It must be finished in one session

Gather information before starting.

- ✗ B. It must be signed in person at a bank: not required
- ✗ C. It can be saved for three weeks and resumed: must be completed in one session
- ✗ D. It must be mailed in on paper afterward: not for the online version

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

S31-B1-Q1 · question page 637

ENT.ID.02 · The official counter versus a middleman

In the story, who is the official counter?

Answer: B. The library desk

The library issues the card.

- ✗ A. The stranger outside: a middleman
- ✗ C. A bookstore: no
- ✗ D. The parking lot: no

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-B1-Q2 · question page 638

ENT.ID.02 · The official counter versus a middleman

For an EIN, who is the official counter?

Answer: D. The IRS

The IRS issues EINs.

- ✗ A. A competitor: no
- ✗ B. A paid website: a middleman
- ✗ C. A friend: no

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-B1-Q3 · question page 639

ENT.ID.02 · The official counter versus a middleman

Does the official counter charge for an EIN?

Answer: C. No

The IRS EIN is free.

- ✗ A. Yes, 100 dollars: no fee
- ✗ B. Only on weekends: no fee
- ✗ D. Yes, monthly: no fee

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-B1-Q4 · question page 640

ENT.ID.02 · The official counter versus a middleman

What might a middleman website add?

Answer: B. Its own fee

Middlemen may charge for convenience.

- ✗ A. A trademark: no
- ✗ C. A free gift card: not typical
- ✗ D. A business loan: no

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-B1-Q5 · question page 641

ENT.ID.02 · The official counter versus a middleman

What is the safest way to avoid extra fees?

Answer: D. Use the official IRS site

Go to the official source.

- ✗ A. Pay whoever asks: risky
- ✗ B. Guess a number: false info
- ✗ C. Click the first ad you see: may be a middleman

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

S31-F1-Q1 · question page 642

ENT.ID.02 · Apply it: prepare and apply correctly

Pat wants to apply online but has not decided who controls the business with his partner. What should he do first?

Answer: A. Decide who the responsible party is before starting

The application must be completed in one session with that information.

- ✗ B. Apply twice, once for each partner: creates duplicate EINs

✗ C. List a loyal customer as the responsible party instead: not correct

✗ D. Start and leave the field blank: it is required

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

S31-F1-Q2 · question page 643

ENT.ID.02 · Apply it: prepare and apply correctly

A founder searched "get EIN" and found a site charging 199 dollars that looks official. What should she check?

Answer: D. Whether the web address is the IRS's official irs.gov site

The official IRS site ends in irs.gov.

✗ A. Whether the site has nice colors: not a test

✗ B. Whether the price is lower than another paid EIN website: still unnecessary

✗ C. Whether the site has many ads: not a test

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

---

S31-F1-Q3 · question page 644

ENT.ID.02 · Apply it: prepare and apply correctly

Kai plans to form an LLC next month. He wants an EIN today for the future LLC. What does the IRS advise?

Answer: B. Form the LLC first, then apply

Form the entity first.

✗ A. Apply today; order never matters: IRS warns of delays

✗ C. Skip the EIN entirely for an LLC: may still need one

✗ D. Use his own SSN as the LLC's EIN forever: not the same thing

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F1-Q4 · question page 645

ENT.ID.02 · Apply it: prepare and apply correctly

Which information should be ready before starting the online application?

Answer: C. The business type and responsible party's SSN or ITIN

Gather required details in advance.

- ✗ A. The logo file, brand colors and a sample of the website: not needed
- ✗ B. Next year's marketing plan: not needed
- ✗ D. A list of competitors' prices: not needed

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F1-Q5 · question page 646

ENT.ID.02 · Apply it: prepare and apply correctly

Nora saved 199 dollars by applying directly with the IRS instead of a paid site. If she had also avoided a 49-dollar "rush" add-on, how much did she save in total?

Answer: D. 248 dollars

199 + 49 = 248 dollars (example prices).

- ✗ A. 199 dollars: only the base fee
- ✗ B. 49 dollars: only the add-on
- ✗ C. 150 dollars: the difference

Arithmetic checked by code: yes. Sources: irs_ein; irs_ein_online

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S31-F2-Q1 · question page 647

ENT.ID.02 · Handle the complications: special cases and scams

A founder has no SSN or ITIN. What does the IRS page say about the online application?

Answer: A. It requires an SSN or ITIN, so another IRS method may be needed

The online option needs an SSN or ITIN; check the IRS for alternatives.

- ✗ B. She can never get an EIN: other methods exist

✗ C. Anyone can apply online without any SSN or ITIN at all: not online

✗ D. She should use a friend's SSN: false information

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F2-Q2 · question page 648

ENT.ID.02 · Handle the complications: special cases and scams

An email says, "Your EIN expires. Pay 75 dollars to renew." What should the owner do?

Answer: C. Treat it as suspicious and check with the IRS directly

EINs are free; verify through official channels.

✗ A. Reply with her bank details: risky

✗ B. Click the link and enter her SSN: risky

✗ D. Pay quickly by card so the business does not lose its EIN: likely a scam

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F2-Q3 · question page 649

ENT.ID.02 · Handle the complications: special cases and scams

A business is located outside the US. What does the IRS online page say?

Answer: D. The online application is for businesses in the US or its territories

Check the IRS for other application methods.

✗ A. Foreign businesses get EINs from their bank: not correct

✗ B. Every business located abroad must use only the online tool: not correct

✗ C. Foreign businesses can never get an EIN: other methods exist

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F2-Q4 · question page 650

ENT.ID.02 · Handle the complications: special cases and scams

An owner started the online form, left for lunch and came back. What might happen?

Answer: B. She may need to start again because it is one session

The session must be completed at once.

- ✗ A. She gets two EINs: no
- ✗ C. The IRS mails her the EIN anyway: not complete
- ✗ D. Her progress is saved for several months automatically: not how it works

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S31-F2-Q5 · question page 651

ENT.ID.02 · Handle the complications: special cases and scams

Which statement is accurate?

Answer: A. Rules on the IRS site can change, so check it when applying.

Official pages give current rules.

- ✗ B. Paid websites set IRS rules.: no
- ✗ C. IRS rules never change.: they can change
- ✗ D. Banks decide which businesses are allowed to get an EIN.: the IRS does

Arithmetic checked by code: not applicable. Sources: irs_ein; irs_ein_online

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S32-M-Q1 · question page 653

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

Which ID is the federal tax ID?

Answer: B. The EIN

The EIN comes from the IRS.

- ✗ A. The state sales tax permit: state level
- ✗ C. The DBA certificate number: a name filing
- ✗ D. The city business license number: local permission

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-M-Q2 · question page 654

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

A shop will collect sales tax. Which ID is it most likely to need from the state?

Answer: D. A state tax account or sales tax permit

Sales tax is usually a state matter.

- ✗ A. Only a trademark registration: not a tax ID
- ✗ B. Only a domain name registration for the site: not a tax ID
- ✗ C. Only an EIN from the IRS: the EIN is federal

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-M-Q3 · question page 655

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

What does business registration (like forming an LLC) do?

Answer: C. Records the business with the state

Registration records the business or name.

- ✗ A. Replaces all business licenses: separate
- ✗ B. Collects sales tax for the state: the business collects
- ✗ D. Gives a federal tax ID number: that is the EIN

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-M-Q4 · question page 656

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

Does an EIN replace a city business license?

Answer: A. No, they do different jobs

An EIN is a tax ID, not permission to operate.

✗ B. Yes, if the business has an LLC: it does not

✗ C. Yes, but only for food businesses: it does not

✗ D. Yes, an EIN covers every permission: it does not

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-M-Q5 · question page 657

ENT.ID.03 · Tell the EIN apart from state tax IDs, registration and licenses

According to the SBA launch steps, how are federal and state tax IDs treated?

Answer: B. As separate steps

They are listed separately.

✗ A. As the same as a trademark: unrelated

✗ C. As one single combined number: they are separate

✗ D. As optional for all businesses: not optional for many

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-B1-Q1 · question page 658

ENT.ID.03 · Different cards in a wallet

Why can't a gym card be used at the library?

Answer: B. Each card is for a different place

Each card has its own purpose.

✗ A. Gym cards are illegal: no

✗ C. Gym cards are too big to fit in slots: not the point

✗ D. Libraries are closed: not the point

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-B1-Q2 · question page 659

ENT.ID.03 · Different cards in a wallet

The EIN is the card for which office?

Answer: D. The IRS

The EIN is federal.

- ✗ A. The city: licenses
- ✗ B. The post office: mail
- ✗ C. The state tax agency: state ID

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-B1-Q3 · question page 660

ENT.ID.03 · Different cards in a wallet

A state tax account is the card for which office?

Answer: C. The state tax agency

It is for state taxes.

- ✗ A. The IRS: that is the EIN
- ✗ B. The bank: no
- ✗ D. The trademark office: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-B1-Q4 · question page 661

ENT.ID.03 · Different cards in a wallet

A license is like which wallet card?

Answer: C. A pass letting you do something

A license grants permission.

- ✗ A. A coupon: no
- ✗ B. A photo: no
- ✗ D. A store receipt from shopping: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-B1-Q5 · question page 662

ENT.ID.03 · Different cards in a wallet

Can one business ID replace all the others?

Answer: C. No

Each serves its own office.

- ✗ A. Yes, the DBA: no
- ✗ B. Yes, the EIN: no
- ✗ D. Yes, any card: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F1-Q1 · question page 663

ENT.ID.03 · Apply it: build an ID and registration checklist

Mara is opening a retail gift shop LLC with one employee. Which list is most complete?

Answer: B. LLC registration, EIN, state tax account, local license

A retail employer needs several IDs and permissions.

- ✗ A. EIN only: missing state and local items
- ✗ C. DBA and logo only: missing most items
- ✗ D. A local license only, with no tax IDs or LLC filing: missing tax IDs and registration

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F1-Q2 · question page 664

ENT.ID.03 · Apply it: build an ID and registration checklist

Theo got an EIN and thinks he is ready to collect sales tax. What is missing?

Answer: A. A state sales tax permit or account

Sales tax is usually registered with the state.

- ✗ B. A new domain name: not for sales tax
- ✗ C. Nothing, the EIN covers sales tax: state ID needed
- ✗ D. A trademark search: not for sales tax

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

S32-F1-Q3 · question page 665

ENT.ID.03 · Apply it: build an ID and registration checklist

Which item gives permission to operate in the city?

Answer: C. A city business license

Licenses give permission.

- ✗ A. The EIN: tax ID
- ✗ B. The DBA filing: name filing
- ✗ D. The state tax account: tax ID

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F1-Q4 · question page 666

ENT.ID.03 · Apply it: build an ID and registration checklist

A business owner counts 4 required items and has finished 3. What fraction is done?

Answer: A. 3/4

3 done out of 4 required = 3/4.

- ✗ B. 1/4: the part not done
- ✗ C. 4/3: upside down
- ✗ D. 3/7: adds incorrectly

Arithmetic checked by code: yes. Sources: irs_ein; sba_launch

---

S32-F1-Q5 · question page 667

ENT.ID.03 · Apply it: build an ID and registration checklist

Which source lists federal and state tax IDs as launch steps?

Answer: D. The SBA's launch guide

The SBA provides an official overview.

- ✗ A. A competitor's social media page: not official
- ✗ B. An old print advertisement: not official
- ✗ C. A random online forum: not official

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F2-Q1 · question page 668

ENT.ID.03 · Handle the complications: mixing up IDs

An owner gives a state tax form her EIN in the box for her state account number. What is the problem?

Answer: A. The EIN and state account number are different IDs

Each form asks for a specific number.

- ✗ B. The state only needs her logo: no
- ✗ C. No problem; the federal and state numbers are always identical: not identical
- ✗ D. The state form needs a trademark: no

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F2-Q2 · question page 669

ENT.ID.03 · Handle the complications: mixing up IDs

A seller thinks a DBA filing gives her a state tax account. What is the error?

Answer: C. A DBA registers a name, not a tax account

Tax accounts are separate.

- ✗ A. DBAs are federal IDs: false

✗ B. No error; a DBA filing also opens a state tax account: false

✗ D. DBAs replace the EIN: false

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

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S32-F2-Q3 · question page 670

ENT.ID.03 · Handle the complications: mixing up IDs

A business moves to a new state. Which items should it check?

Answer: D. State registration, state tax accounts and local licenses there

State and local items depend on the location.

✗ A. Only its logo colors: unrelated

✗ B. Only the EIN, which must be replaced: the EIN is federal and usually stays

✗ C. Nothing; every state registration and license transfers automatically: not always

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

---

S32-F2-Q4 · question page 671

ENT.ID.03 · Handle the complications: mixing up IDs

Which statement is accurate?

Answer: B. Requirements depend on the state, the activity and whether there are employees.

Check the specific situation.

✗ A. No business needs a state ID.: not true

✗ C. Every business in every state needs exactly the same IDs and filings.: not true

✗ D. Only big companies need IDs.: not true

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

S32-F2-Q5 · question page 672

ENT.ID.03 · Handle the complications: mixing up IDs

Where should a founder check state tax ID needs?

Answer: D. The state tax agency's official website

State agencies handle state taxes.

- ✗ A. The IRS only: the IRS is federal
- ✗ B. A neighbor's guess: unreliable
- ✗ C. The comment section under a business video: unreliable

Arithmetic checked by code: not applicable. Sources: irs_ein; sba_launch

S33-M-Q1 · question page 674

ENT.BANK.01 · Explain why business money needs its own account

What is commingling?

Answer: C. Mixing personal and business money

Commingling means mixing funds.

- ✗ A. Keeping receipts in a folder by month: that is good record keeping
- ✗ B. Paying taxes on time each quarter: not the meaning
- ✗ D. Opening several savings accounts at once: not the meaning

Arithmetic checked by code: not applicable. Sources: sba_launch

S33-M-Q2 · question page 675

ENT.BANK.01 · Explain why business money needs its own account

What is one benefit of a separate business account?

Answer: B. Bookkeeping and taxes are easier

Clear records simplify bookkeeping.

✗ A. The owner never needs to keep receipts: records are still needed

✗ C. The business pays no taxes at all: taxes still apply

✗ D. Customers must pay in cash only: unrelated

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-M-Q3 · question page 676

ENT.BANK.01 · Explain why business money needs its own account

Which money should go into the business account?

Answer: A. All business income

All business income goes into the business account.

✗ B. Only the owner's birthday gifts: personal money

✗ C. Nothing; it should stay empty: the account is for business money

✗ D. Only cash from personal savings: personal money

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-M-Q4 · question page 677

ENT.BANK.01 · Explain why business money needs its own account

How can commingling affect an LLC owner?

Answer: D. It can weaken liability protection

Mixing funds blurs the line between owner and LLC.

✗ A. It removes the need for licenses: unrelated

✗ B. It always lowers the owner's taxes: not a benefit

✗ C. It makes the LLC a trademark: unrelated

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-M-Q5 · question page 678

ENT.BANK.01 · Explain why business money needs its own account

Which purchase belongs on the business account?

Answer: C. Packaging supplies for orders

Business expenses go through the business account.

- ✗ A. The owner's gym membership: personal
- ✗ B. A family vacation: personal
- ✗ D. The owner's groceries: personal

Arithmetic checked by code: not applicable. Sources: sba_launch

---

S33-B1-Q1 · question page 679

ENT.BANK.01 · Two jars

Customer payments go in which jar?

Answer: B. The BUSINESS jar

Business income goes to business.

- ✗ A. Neither jar: they must go somewhere
- ✗ C. The HOME jar: personal
- ✗ D. A third secret jar: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-B1-Q2 · question page 680

ENT.BANK.01 · Two jars

Groceries are paid from which jar?

Answer: D. The HOME jar

Personal costs come from personal money.

- ✗ A. The BUSINESS jar: personal expense
- ✗ B. No jar: no
- ✗ C. Both jars equally: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-B1-Q3 · question page 681

ENT.BANK.01 · Two jars

What happens if both jars are poured into one?

Answer: A. You cannot tell what the business earned

Mixing hides the business results.

- ✗ B. Nothing changes: records get mixed
- ✗ C. Taxes disappear: no
- ✗ D. The business automatically earns more money: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-B1-Q4 · question page 682

ENT.BANK.01 · Two jars

A business bank account is like which jar?

Answer: B. The BUSINESS jar

It holds only business money.

- ✗ A. The HOME jar for family money: no
- ✗ C. A broken jar: no
- ✗ D. A cookie jar: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-B1-Q5 · question page 683

ENT.BANK.01 · Two jars

Business supplies are paid from which jar?

Answer: C. The BUSINESS jar

Business costs come from business money.

✗ A. A neighbor's jar: no

✗ B. The HOME jar: no

✗ D. No jar: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F1-Q1 · question page 684

ENT.BANK.01 · Apply it: sort transactions into the right account

Gia's client pays 600 dollars for a design project. Where should it be deposited?

Answer: A. The business account

Business income goes to the business account.

✗ B. Her personal savings for safekeeping: commingling

✗ C. Her child's school account: commingling

✗ D. Split randomly between accounts: confusing

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F1-Q2 · question page 685

ENT.BANK.01 · Apply it: sort transactions into the right account

Ben pays for his personal phone and his business software from one personal card. What is the issue?

Answer: D. Business and personal costs are mixed

Business costs should come from business funds.

✗ A. Nothing, one card is always best: mixing makes records unclear

✗ B. Phones are illegal for businesses: no

✗ C. Software is never a business cost: it can be

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F1-Q3 · question page 686

ENT.BANK.01 · Apply it: sort transactions into the right account

In a month, the business account shows deposits of 3,200 dollars and expenses of 2,450 dollars. What is the net change?

Answer: C. 750 dollars more

3,200 - 2,450 = 750 dollars.

- ✗ A. 750 dollars less: wrong direction
- ✗ B. 2,450 dollars more: only expenses
- ✗ D. 5,650 dollars more: adds instead of subtracting

Arithmetic checked by code: yes. Sources: sba_launch

S33-F1-Q4 · question page 687

ENT.BANK.01 · Apply it: sort transactions into the right account

Which is commingling?

Answer: B. Paying the owner's rent from the LLC account

Personal rent paid by the LLC mixes funds.

- ✗ A. Paying the LLC's web hosting from the LLC account: business
- ✗ C. Paying supplier invoices from the LLC account: business
- ✗ D. Depositing client payments in the LLC account: business

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F1-Q5 · question page 688

ENT.BANK.01 · Apply it: sort transactions into the right account

A new freelancer has no LLC. Is a separate account still useful?

Answer: A. Yes, it keeps records clearer

Separation helps any business.

- ✗ B. No, it raises taxes automatically: false
- ✗ C. No, freelancers cannot open them: false
- ✗ D. No, only corporations may have one: false

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F2-Q1 · question page 689

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

Ava accidentally paid a 40-dollar personal dinner with the business card. What is a sensible fix?

Answer: C. Record it and repay the business from personal money

Correcting and documenting keeps records clean.

- ✗ A. Close the business account: too extreme
- ✗ B. Ignore it, since small mistakes on business cards never matter: records become wrong
- ✗ D. Call it a business expense anyway: not honest

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F2-Q2 · question page 690

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

A customer pays by a payment app linked to the owner's personal account. What should the owner change?

Answer: A. Link the payment app to the business account

Payment tools should deposit into the business account.

- ✗ B. Nothing, apps never matter: still commingling
- ✗ C. Delete all records: harmful
- ✗ D. Ask customers to stop paying through the app: loses income

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F2-Q3 · question page 691

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

An owner pays herself from the business by moving money to her personal account and noting it. Is that commingling?

Answer: D. No, a recorded transfer to the owner is a normal step

Clear, recorded owner payments are fine.

- ✗ A. Yes, owners can never be paid: false
- ✗ B. Yes, every transfer from business to owner is illegal: false
- ✗ C. Only if done on Mondays: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F2-Q4 · question page 692

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

Which habit best prevents commingling?

Answer: C. Use business cards and accounts only for business

Consistent separation prevents mixing.

- ✗ A. Pay all costs in untracked cash: unclear records
- ✗ B. Use whichever card is closest: mixes funds
- ✗ D. Keep one shared card for both kinds of spending: mixes funds

Arithmetic checked by code: not applicable. Sources: sba_launch

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S33-F2-Q5 · question page 693

ENT.BANK.01 · Handle the complications: fixing mistakes and edge cases

Which statement is accurate?

Answer: C. A separate account helps, but it does not by itself guarantee liability protection.

It is one important habit among several.

- ✗ A. A separate account by itself makes the owner immune to every lawsuit and every business debt.: overstated
- ✗ B. A separate account removes the need for bookkeeping.: false
- ✗ D. A separate account eliminates taxes.: false

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-M-Q1 · question page 695

ENT.BANK.02 · Prepare documents and compare business account fees and signers

What is a signer on a bank account?

Answer: C. A person allowed to use the account

Signers can make transactions.

- ✗ A. The bank employee who opened the account: not a signer
- ✗ B. A customer who pays the business by check: not a signer
- ✗ D. The state office that approved the LLC: not a signer

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-M-Q2 · question page 696

ENT.BANK.02 · Prepare documents and compare business account fees and signers

Which document does a bank commonly ask for when opening an LLC account?

Answer: D. The LLC's formation papers

Banks need proof the LLC exists.

- ✗ A. The company's logo file: not relevant
- ✗ B. A competitor's price list: not relevant
- ✗ C. The owner's high school report card: not relevant

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-M-Q3 · question page 697

ENT.BANK.02 · Prepare documents and compare business account fees and signers

A sole proprietor uses the trade name "Pine Cleaners." What may the bank ask for?

Answer: B. A DBA certificate

Banks may need proof of the trade name.

✗ A. A trademark from another country: not needed

✗ C. A food permit: not relevant

✗ D. An operating agreement only: for LLCs

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-M-Q4 · question page 698

ENT.BANK.02 · Prepare documents and compare business account fees and signers

An account is "free" if the balance stays above 1,500 dollars. What should an owner check?

Answer: A. Whether she can keep that minimum balance

Conditions decide whether fees apply.

✗ B. Whether the bank's logo is attractive: not relevant

✗ C. Whether the lobby has coffee: not relevant

✗ D. Whether her friends bank there: not relevant

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-M-Q5 · question page 699

ENT.BANK.02 · Prepare documents and compare business account fees and signers

Which is part of comparing business accounts?

Answer: D. Monthly fees and transaction limits

Costs and limits matter most.

✗ A. The color of the debit card only: cosmetic

✗ B. How tall the bank building is: irrelevant

✗ C. The bank's TV ads: not a cost

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-B1-Q1 · question page 700

ENT.BANK.02 · Packing for the bank visit

What happens if you arrive without the right papers?

Answer: B. You may be sent back

Banks need documents.

- ✗ A. Nothing at all: papers are needed
- ✗ C. You get a free account: no
- ✗ D. The bank guesses for you: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-B1-Q2 · question page 701

ENT.BANK.02 · Packing for the bank visit

Which shows the business exists?

Answer: C. Formation papers or a DBA certificate

Official papers prove it.

- ✗ A. A social media page for the business: not proof
- ✗ B. A photo of the shop: not proof
- ✗ D. A business card: not proof

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-B1-Q3 · question page 702

ENT.BANK.02 · Packing for the bank visit

Which ID does each account user bring?

Answer: A. A personal photo ID

Each signer is identified.

- ✗ B. A coupon: not ID
- ✗ C. A gym card: not ID
- ✗ D. A library card only: not enough

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-B1-Q4 · question page 703

ENT.BANK.02 · Packing for the bank visit

Comparing account fees is like comparing what?

Answer: A. Airline baggage fees

Compare costs before choosing.

- ✗ B. Paint colors at a hardware store: no
- ✗ C. Movie plots: no
- ✗ D. Song lyrics: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-B1-Q5 · question page 704

ENT.BANK.02 · Packing for the bank visit

Which tax ID do you bring?

Answer: C. The EIN

The EIN identifies the business.

- ✗ A. A license plate: no
- ✗ B. A zip code: no
- ✗ D. A phone number: no

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F1-Q1 · question page 705

ENT.BANK.02 · Apply it: compare two accounts

Account A costs 15 dollars a month. Account B costs 5 dollars a month plus 0.50 dollars per deposit after 20 deposits. A business makes 30 deposits a month. Which costs less?

Answer: A. Account B (10 dollars)

B: 5 + (30 - 20) x 0.50 = 10 dollars, less than 15.

- ✗ B. Account B (20 dollars): miscounted the extra deposits
- ✗ C. They cost the same: B is lower
- ✗ D. Account A (15 dollars): A is higher

Arithmetic checked by code: yes. Sources: sba_launch

S34-F1-Q2 · question page 706

ENT.BANK.02 · Apply it: compare two accounts

Tia's LLC has two owners who will both write checks. What must the bank set up?

Answer: D. Both owners as signers with ID

Each person who uses the account is a signer.

- ✗ A. Only Tia, while her partner uses Tia's card: sharing cards is unsafe
- ✗ B. A customer as a signer: not appropriate
- ✗ C. No signers; the LLC signs itself: people sign

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F1-Q3 · question page 707

ENT.BANK.02 · Apply it: compare two accounts

An account waives its 12-dollar monthly fee if the balance stays above 1,000 dollars. Ken's balance usually drops to 400 dollars. What yearly fee should he expect?

Answer: A. 144 dollars

12 x 12 = 144 dollars.

- ✗ B. 12 dollars: only one month
- ✗ C. 0 dollars: he misses the minimum
- ✗ D. 400 dollars: that is the balance

Arithmetic checked by code: yes. Sources: sba_launch

S34-F1-Q4 · question page 708

ENT.BANK.02 · Apply it: compare two accounts

Which document is the bank LEAST likely to require?

Answer: B. The business's marketing plan

Marketing plans are not usually required.

- ✗ A. Formation papers: commonly required
- ✗ C. The EIN: commonly required
- ✗ D. A photo ID for each signer: commonly required

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F1-Q5 · question page 709

ENT.BANK.02 · Apply it: compare two accounts

A cash-heavy food truck compares accounts. Which fee matters most to it?

Answer: D. Cash deposit fees

Frequent cash deposits make that fee important.

- ✗ A. International wire fees: rare for it
- ✗ B. Check-printing designs: minor
- ✗ C. Branch decor: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F2-Q1 · question page 710

ENT.BANK.02 · Handle the complications: signers, changes and fine print

A partner leaves the business but is still a signer. What should the remaining owner do?

Answer: C. Ask the bank to remove that signer

Update signers when roles change.

- ✗ A. Close every account immediately: not required
- ✗ B. Share the password with the former partner: unsafe

✗ D. Nothing; old signers lose access automatically: not automatic

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F2-Q2 · question page 711

ENT.BANK.02 · Handle the complications: signers, changes and fine print

A bank ad says "Free business checking." What should the owner do before opening?

Answer: A. Read the fee schedule and conditions

Fine print shows when fees apply.

✗ B. Assume all banks are the same: they differ
✗ C. Ask a stranger online: unreliable
✗ D. Open it right away; free means no fees ever: conditions may apply

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F2-Q3 · question page 712

ENT.BANK.02 · Handle the complications: signers, changes and fine print

An owner gives her bookkeeper her own online banking password. What is a better option?

Answer: D. Ask the bank about separate access for the bookkeeper

Separate user access keeps control and records clear.

✗ A. Use the same password for everything: unsafe
✗ B. Post the password where every staff member can see it: unsafe
✗ C. Share her ID card too: unsafe

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F2-Q4 · question page 713

ENT.BANK.02 · Handle the complications: signers, changes and fine print

The bank asks for documents the owner did not expect. What is the reason most likely?

Answer: B. Banks set their own rules for opening accounts

Requirements vary by bank.

- ✗ A. The bank is breaking the law: not necessarily
- ✗ C. The IRS controls bank forms: not exactly
- ✗ D. The business is not allowed to exist in that state: unlikely

Arithmetic checked by code: not applicable. Sources: sba_launch

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S34-F2-Q5 · question page 714

ENT.BANK.02 · Handle the complications: signers, changes and fine print

Which statement is accurate?

Answer: D. Account requirements and fees vary by bank, so compare before choosing.

Comparison helps choose wisely.

- ✗ A. Every bank charges exactly the same monthly and deposit fees.: false
- ✗ B. Banks never ask for ID.: false
- ✗ C. No bank ever charges business fees.: false

Arithmetic checked by code: not applicable. Sources: sba_launch

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S35-M-Q1 · question page 716

ENT.BANK.03 · Tell debit, credit and payment processing apart

Where does a business debit card take money from?

Answer: A. The business bank account

Debit draws from the account.

- ✗ B. A loan that must be repaid with interest: that is credit
- ✗ C. The customer's bank account directly: not how debit works for the owner
- ✗ D. The owner's personal savings account: not if it is a business card

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-M-Q2 · question page 717

ENT.BANK.03 · Tell debit, credit and payment processing apart

What happens if a credit card balance is not paid in full?

Answer: B. Interest is usually charged

Unpaid credit balances usually charge interest.

- ✗ A. The bank pays the balance for the business: no
- ✗ C. The card becomes a debit card: no
- ✗ D. The balance is forgiven after a month: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-M-Q3 · question page 718

ENT.BANK.03 · Tell debit, credit and payment processing apart

What does a payment processor do?

Answer: D. Lets the business accept customer card payments

Processors move customer payments to the business.

- ✗ A. Files the business's yearly tax return: not its job
- ✗ B. Registers the business name with the state: not its job
- ✗ C. Designs the online store: not its main job

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-M-Q4 · question page 719

ENT.BANK.03 · Tell debit, credit and payment processing apart

Which tool brings money IN from customers?

Answer: C. A payment processor

Processors collect customer payments.

✗ A. A business debit card: money out

✗ B. A business credit card: borrowing to pay out

✗ D. A checkbook: usually money out

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-M-Q5 · question page 720

ENT.BANK.03 · Tell debit, credit and payment processing apart

When does the processor usually deposit the money?

Answer: B. A day or more after the sale

Deposits often take one or more business days.

✗ A. Exactly one year later: not typical

✗ C. Before the customer buys anything: not possible

✗ D. Never; it keeps the money: false

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-B1-Q1 · question page 721

ENT.BANK.03 · In-doors and out-doors

A payment processor is which door?

Answer: A. An IN door

Customer payments come in.

✗ B. A locked door: no

✗ C. No door: no

✗ D. An OUT door: it brings money in

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-B1-Q2 · question page 722

ENT.BANK.03 · In-doors and out-doors

A debit card is which door?

Answer: C. An OUT door

Debit takes money out now.

- ✗ A. A locked door: no
- ✗ B. An IN door: it pays out
- ✗ D. A borrowed door: that is credit

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-B1-Q3 · question page 723

ENT.BANK.03 · In-doors and out-doors

A credit card is which door?

Answer: B. A borrowed OUT door

Credit lets you spend borrowed money.

- ✗ A. A locked door with no key: no
- ✗ C. A free door: not free
- ✗ D. An IN door: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-B1-Q4 · question page 724

ENT.BANK.03 · In-doors and out-doors

What does the processor keep?

Answer: B. A fee

Processors charge a fee.

- ✗ A. The customer's card: no
- ✗ C. The whole sale: no
- ✗ D. Nothing: it charges a fee

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-B1-Q5 · question page 725

ENT.BANK.03 · In-doors and out-doors

What may you owe on a credit card later?

Answer: A. The balance and maybe interest

Borrowed money must be repaid.

- ✗ B. A free gift: no
- ✗ C. Only a thank-you note to the card company: no
- ✗ D. Nothing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F1-Q1 · question page 726

ENT.BANK.03 · Apply it: estimate deposits and choose tools

A processor charges 2.9 percent plus 0.30 dollars per sale. A sale is 50 dollars. What is the fee?

Answer: A. 1.75 dollars

0.029 x 50 + 0.30 = 1.45 + 0.30 = 1.75 dollars (example rate).

- ✗ B. 1.45 dollars: forgot the 0.30 dollars
- ✗ C. 3.20 dollars: added 2.9 as dollars
- ✗ D. 0.30 dollars: only the fixed part

Arithmetic checked by code: yes. Sources: none (stable)

S35-F1-Q2 · question page 727

ENT.BANK.03 · Apply it: estimate deposits and choose tools

Using the same fee, how much is deposited for the 50-dollar sale?

Answer: C. 48.25 dollars

50 - 1.75 = 48.25 dollars.

✗ A. 50.00 dollars: ignores the fee

✗ B. 48.55 dollars: forgot the 0.30 dollars

✗ D. 46.80 dollars: added 2.9 as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S35-F1-Q3 · question page 728

ENT.BANK.03 · Apply it: estimate deposits and choose tools

Lou buys 300 dollars of supplies with a business credit card and pays the whole bill on time. What interest does he pay, assuming the card charges none when paid in full?

Answer: B. 0 dollars

Paying in full on time avoids interest on many cards.

✗ A. 30 dollars: guessed a rate

✗ C. 3 dollars: guessed a rate

✗ D. 300 dollars: that is the purchase

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F1-Q4 · question page 729

ENT.BANK.03 · Apply it: estimate deposits and choose tools

A business wants to stop overspending money it does not have. Which card fits that goal?

Answer: A. A business debit card

Debit spends only what is in the account.

✗ B. A store credit account: borrowing

✗ C. Several new credit cards: more borrowing

✗ D. A credit card with a high limit: allows borrowing

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F1-Q5 · question page 730

ENT.BANK.03 · Apply it: estimate deposits and choose tools

A customer pays by card on Friday. The owner needs the cash Friday afternoon. What should she know?

Answer: C. Processor deposits often arrive a day or more later

Plan for deposit timing.

- ✗ A. Cash arrives in her wallet instantly: false
- ✗ B. Card sales never deposit: false
- ✗ D. Card deposits always arrive before the customer even pays: false

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F2-Q1 · question page 731

ENT.BANK.03 · Handle the complications: fees, timing and debt

An owner charges 2,000 dollars on a credit card and pays only the minimum each month. What is the main risk?

Answer: D. Interest builds and the debt lasts a long time

Carrying a balance costs interest.

- ✗ A. The purchase becomes free: no
- ✗ B. No risk; minimum payments clear the debt quickly: slow and costly
- ✗ C. The bank cancels the debt: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F2-Q2 · question page 732

ENT.BANK.03 · Handle the complications: fees, timing and debt

Two processors: one charges 2.6 percent plus 0.15 dollars per sale, one charges 3 percent with no fixed fee. For a 10-dollar sale, which costs less?

Answer: B. 3 percent (0.30 dollars)

0.026 x 10 + 0.15 = 0.41; 0.03 x 10 = 0.30 (example rates).

- ✗ A. 2.6 percent plus 0.15 dollars (0.41 dollars): that is higher

✗ C. They cost the same: they differ

✗ D. 3 percent (3.00 dollars): used 3 as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S35-F2-Q3 · question page 733

ENT.BANK.03 · Handle the complications: fees, timing and debt

A processor holds a new seller's deposits for a few days after a large sale. What is a sensible response?

Answer: D. Read the processor's terms and plan cash for delays

Processors may hold funds under their terms.

✗ A. Sign up for many processors at once to spread out sales: not a fix

✗ B. Stop recording sales: harmful

✗ C. Assume the money is lost forever: not necessarily

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F2-Q4 · question page 734

ENT.BANK.03 · Handle the complications: fees, timing and debt

An owner pays personal bills with the business credit card to earn rewards. What is the problem?

Answer: A. It mixes personal and business spending

Keep business cards for business costs.

✗ B. Business cards cannot earn rewards: some do

✗ C. Nothing; rewards make it fine: still commingling

✗ D. Rewards are illegal: not the point

Arithmetic checked by code: not applicable. Sources: none (stable)

S35-F2-Q5 · question page 735

ENT.BANK.03 · Handle the complications: fees, timing and debt

Which statement is accurate?

Answer: A. Fees and rules differ by provider, so compare current terms.

Provider terms vary.

- ✗ B. Credit cards never charge interest on any unpaid balance.: false
- ✗ C. Debit cards borrow money.: false
- ✗ D. All processors charge the same.: false

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-M-Q1 · question page 737

ENT.BANK.04 · Record contributions, draws and owner loans correctly

Money an owner puts into the business is called what?

Answer: D. An owner contribution

A contribution is money in from the owner.

- ✗ A. An owner's draw from profits: that is money out
- ✗ B. A refund to a customer: that is money out
- ✗ C. A customer payment for a product: that is revenue

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-M-Q2 · question page 738

ENT.BANK.04 · Record contributions, draws and owner loans correctly

Money an owner takes out from profits is called what?

Answer: B. An owner's draw

A draw is money taken by the owner.

- ✗ A. A loan from a bank: not a draw
- ✗ C. A business expense for supplies: not a draw
- ✗ D. A sales tax payment: not a draw

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-M-Q3 · question page 739

ENT.BANK.04 · Record contributions, draws and owner loans correctly

For a sole proprietor, is a draw a business expense?

Answer: C. No

Draws are not business expenses.

- ✗ A. Only in December: no
- ✗ B. Only if over 1,000 dollars: no
- ✗ D. Yes, always: it is not an expense

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-M-Q4 · question page 740

ENT.BANK.04 · Record contributions, draws and owner loans correctly

An owner lends the business 2,000 dollars. What should be done?

Answer: A. Write it down with how it will be repaid

Documented loans keep books accurate.

- ✗ B. Keep it secret from any partners: unclear
- ✗ C. Spend it without recording anything: unclear books
- ✗ D. Call it sales income: not revenue

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-M-Q5 · question page 741

ENT.BANK.04 · Record contributions, draws and owner loans correctly

What is the best way to move money between owner and business?

Answer: D. A recorded bank transfer

Transfers leave a clear record.

✗ A. Paying personal bills from the business card: commingling

✗ B. Untracked cash from a drawer: hard to prove

✗ C. Guessing amounts at year end: inaccurate

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-B1-Q1 · question page 742

ENT.BANK.04 · A family piggy bank with a notebook

Putting money in the piggy bank is like what?

Answer: B. An owner contribution

Money in from the owner.

✗ A. A refund paid to a customer: no

✗ C. An owner's draw: money out

✗ D. A tax bill: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-B1-Q2 · question page 743

ENT.BANK.04 · A family piggy bank with a notebook

Taking money out is like what?

Answer: D. An owner's draw

Money out to the owner.

✗ A. A business license: no

✗ B. A contribution: money in

✗ C. A sale: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-B1-Q3 · question page 744

ENT.BANK.04 · A family piggy bank with a notebook

Why keep the notebook?

Answer: C. It tells the true story of the money

Records show what happened.

- ✗ A. For decoration: no
- ✗ B. To make the piggy bank heavier: no
- ✗ D. To hide the money: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-B1-Q4 · question page 745

ENT.BANK.04 · A family piggy bank with a notebook

"Borrowed 30, will repay Friday" is like what?

Answer: A. A loan with repayment terms

A loan is repaid.

- ✗ B. A tax: no
- ✗ C. A sale: no
- ✗ D. A gift to a friend or cousin: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-B1-Q5 · question page 746

ENT.BANK.04 · A family piggy bank with a notebook

What happens if moves are not written down?

Answer: B. No one knows the true balance

Unrecorded moves create confusion.

- ✗ A. Nothing at all: records get lost
- ✗ C. The money multiplies by itself: no
- ✗ D. Taxes vanish: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F1-Q1 · question page 747

ENT.BANK.04 · Apply it: label owner money moves

Ivy moves 1,000 dollars from her savings into her new LLC account to buy supplies. How should it be recorded?

Answer: A. As an owner contribution

Money put in by the owner is a contribution.

- ✗ B. As an owner's draw: that is money out
- ✗ C. As sales revenue from customers: not revenue
- ✗ D. As a supply expense: the purchase is later

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F1-Q2 · question page 748

ENT.BANK.04 · Apply it: label owner money moves

A sole proprietor has 5,000 dollars of profit and takes a 1,500-dollar draw. How much profit remains in the business?

Answer: C. 3,500 dollars

5,000 - 1,500 = 3,500 dollars.

- ✗ A. 6,500 dollars: added the draw
- ✗ B. 5,000 dollars: ignores the draw
- ✗ D. 1,500 dollars: that is the draw

Arithmetic checked by code: yes. Sources: none (stable)

S36-F1-Q3 · question page 749

ENT.BANK.04 · Apply it: label owner money moves

Omar lends his business 3,000 dollars to be repaid 250 dollars a month. How many months to repay it?

Answer: A. 12 months

3,000 / 250 = 12 months.

- ✗ B. 10 months: miscounted
- ✗ C. 3 months: used thousands
- ✗ D. 25 months: used the wrong numbers

Arithmetic checked by code: yes. Sources: none (stable)

S36-F1-Q4 · question page 750

ENT.BANK.04 · Apply it: label owner money moves

An owner takes 200 dollars cash from the register for personal use without recording it. What is the problem?

Answer: B. The books will not match the real money

Every owner withdrawal should be recorded.

- ✗ A. It becomes a business expense: not an expense
- ✗ C. It counts as sales: not sales
- ✗ D. No problem; owners can take any cash: records break

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F1-Q5 · question page 751

ENT.BANK.04 · Apply it: label owner money moves

Which is NOT a business expense for a sole proprietor?

Answer: D. The owner's draw

Draws are not expenses.

- ✗ A. Web hosting: expense
- ✗ B. Shipping supplies: expense
- ✗ C. Business software: expense

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F2-Q1 · question page 752

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

An owner takes large draws while the business owes suppliers. What is the risk?

Answer: C. The business may not have cash to pay its bills

Draws reduce business cash.

- ✗ A. Draws reduce taxes to zero: false
- ✗ B. No risk; draws create more cash: false
- ✗ D. Suppliers stop asking the business for payment: false

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F2-Q2 · question page 753

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

Two equal LLC partners agreed to take draws equally. One takes 2,000 dollars and the other 500 dollars. What should they do?

Answer: C. Record it and fix the imbalance as their agreement says

Draws should follow the agreement.

- ✗ A. Delete the records: harmful
- ✗ B. Ignore it forever: creates disputes
- ✗ D. Have their customers vote on which partner was right: not their role

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F2-Q3 · question page 754

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

A corporation's owner who works in the business may be paid through payroll. Why does this differ from a sole proprietor's draw?

Answer: D. Business structure affects how owners are paid

Rules depend on structure; a tax professional can help.

✗ A. Corporations cannot pay owners: false

✗ B. All owners are paid identically: not true

✗ C. Sole proprietors must always pay themselves through payroll: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F2-Q4 · question page 755

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

An owner put 2,000 dollars in but did not say if it was a loan or contribution. Why does it matter?

Answer: C. A loan is repaid; a contribution is not

Labeling decides whether repayment is owed.

✗ A. It does not matter at all how it is labeled: it changes repayment

✗ B. Both are taxes: neither is a tax

✗ D. Both are customer sales: neither is sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S36-F2-Q5 · question page 756

ENT.BANK.04 · Handle the complications: draws, cash shortages and partners

Which statement is accurate?

Answer: B. Owner pay rules vary by structure, so check with a tax professional.

Structure and tax treatment matter.

✗ A. Owners may never take money out.: not true

✗ C. Every business owner must take a weekly salary through payroll.: not true

✗ D. Draws are always business expenses.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-M-Q1 · question page 758

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

What does reconciling mean?

Answer: B. Comparing your records with the bank statement

It checks that records match.

- ✗ A. Opening a second account at another bank: not reconciling
- ✗ C. Paying all bills on the same day: not reconciling
- ✗ D. Asking the bank for a loan: not reconciling

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-M-Q2 · question page 759

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

Which is a common reason records and the bank differ?

Answer: C. A bank fee that was not recorded

Unrecorded fees cause differences.

- ✗ A. A customer posted a review: unrelated
- ✗ B. The owner changed the logo colors: unrelated
- ✗ D. The website was redesigned: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-M-Q3 · question page 760

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

A check was written but has not cleared. What does that mean?

Answer: D. The bank has not processed it yet

Uncleared checks cause timing differences.

✗ A. The bank closed the account: no

✗ B. The check was never written at all: it was written

✗ C. The money was refunded twice: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-M-Q4 · question page 761

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

An unknown 89-dollar charge appears. What should the owner do?

Answer: A. Report it to the bank quickly

Unknown charges should be checked quickly.

✗ B. Record it as sales: wrong

✗ C. Delete it from the records: hides the problem

✗ D. Ignore it, since small charges never matter: may be fraud

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-M-Q5 · question page 762

ENT.BANK.05 · Reconcile records with the bank statement and explain differences

How often is reconciling commonly done?

Answer: B. Monthly

Monthly reconciling catches problems early.

✗ A. Never: problems would be missed

✗ C. Only when closing the business: too late

✗ D. Once every ten years: too rare

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-B1-Q1 · question page 763

ENT.BANK.05 · Checking a receipt against the bag

In the shopping example, what is compared?

Answer: A. The receipt and the bag

Two lists are compared.

- ✗ B. Two stores: no
- ✗ C. Coupons and ads: no
- ✗ D. Prices and the weather: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-B1-Q2 · question page 764

ENT.BANK.05 · Checking a receipt against the bag

For a business, which two lists are compared?

Answer: B. Records and bank statement

Records versus the bank.

- ✗ A. Ads and reviews: no
- ✗ C. Logo and website: no
- ✗ D. Products and their colors: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-B1-Q3 · question page 765

ENT.BANK.05 · Checking a receipt against the bag

Two milks on the receipt but one in the bag means what?

Answer: D. Something does not match

A mismatch needs checking.

- ✗ A. Milk is free: no
- ✗ B. The store closed: no
- ✗ C. Everything is fine as it is: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-B1-Q4 · question page 766

ENT.BANK.05 · Checking a receipt against the bag

After finding a mismatch, what do you do?

Answer: B. Find out why

Investigate differences.

- ✗ A. Buy more milk: no
- ✗ C. Ignore it: no
- ✗ D. Throw away the receipt: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-B1-Q5 · question page 767

ENT.BANK.05 · Checking a receipt against the bag

An item only on the bank statement could be what?

Answer: A. A fee you did not record

Fees are common unrecorded items.

- ✗ B. A paper coupon: no
- ✗ C. A logo: no
- ✗ D. A review a customer posted: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F1-Q1 · question page 768

ENT.BANK.05 · Apply it: find the difference

Records show 2,450 dollars. The bank shows 2,435 dollars. The statement lists a 15-dollar monthly fee not in the records. What explains the difference?

Answer: D. The unrecorded 15-dollar fee

2,450 - 2,435 = 15 dollars.

- ✗ A. Nothing; they match: they differ by 15
- ✗ B. A 150-dollar deposit error: wrong size
- ✗ C. A missing 2,435-dollar sale: wrong size

Arithmetic checked by code: yes. Sources: none (stable)

S37-F1-Q2 · question page 769

ENT.BANK.05 · Apply it: find the difference

Records show 1,800 dollars. A 200-dollar check to a supplier has not cleared. What will the bank likely show?

Answer: A. 2,000 dollars

The bank has not subtracted the 200 yet: 1,800 + 200 = 2,000.

- ✗ B. 200 dollars: only the check
- ✗ C. 1,600 dollars: subtracted twice
- ✗ D. 1,800 dollars: ignores the uncleared check

Arithmetic checked by code: yes. Sources: none (stable)

S37-F1-Q3 · question page 770

ENT.BANK.05 · Apply it: find the difference

A deposit of 350 dollars was recorded as 530 dollars. What is the difference?

Answer: B. 180 dollars

530 - 350 = 180 dollars.

- ✗ A. 530 dollars: not the difference
- ✗ C. 880 dollars: added instead
- ✗ D. 350 dollars: not the difference

Arithmetic checked by code: yes. Sources: none (stable)

S37-F1-Q4 · question page 771

ENT.BANK.05 · Apply it: find the difference

The statement shows two identical 45-dollar charges from one supplier on the same day. The owner made one purchase. What should she do?

Answer: A. Contact the supplier or bank about a possible duplicate

Check duplicates promptly.

- ✗ B. Record both as normal: one may be wrong
- ✗ C. Close the business: too extreme
- ✗ D. Delete both charges from her records and move on: one was real

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F1-Q5 · question page 772

ENT.BANK.05 · Apply it: find the difference

Which habit makes reconciling easier?

Answer: D. Recording transactions as they happen

Timely records simplify matching.

- ✗ A. Keeping no receipts: harder
- ✗ B. Mixing in personal purchases now and then: harder
- ✗ C. Recording only at year end: harder

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F2-Q1 · question page 773

ENT.BANK.05 · Handle the complications: fraud, timing and delays

An owner has not reconciled for 8 months and finds an unknown charge from 7 months ago. What is the problem?

Answer: A. Waiting long can make disputes and recovery harder

Banks may set time limits for reporting problems.

- ✗ B. The bank fixes any old charge automatically: not without notice

✗ C. No problem; any timing is fine: delays can matter

✗ D. Old charges always disappear: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F2-Q2 · question page 774

ENT.BANK.05 · Handle the complications: fraud, timing and delays

A small recurring 9.99-dollar charge appears for software the owner cancelled. What should she do?

Answer: D. Cancel properly and dispute charges after cancellation

Small recurring charges add up.

✗ A. Record it as revenue: wrong

✗ B. Ignore it; it is small: adds up

✗ C. Hide it from her accountant to keep the books simple: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F2-Q3 · question page 775

ENT.BANK.05 · Handle the complications: fraud, timing and delays

The 9.99-dollar charge has continued for 12 months. How much has it cost?

Answer: B. 119.88 dollars

9.99 x 12 = 119.88 dollars.

✗ A. 99.90 dollars: 10 months

✗ C. 129.87 dollars: 13 months

✗ D. 9.99 dollars: one month

Arithmetic checked by code: yes. Sources: none (stable)

S37-F2-Q4 · question page 776

ENT.BANK.05 · Handle the complications: fraud, timing and delays

Records and bank match exactly, but the owner forgot to record a customer refund paid in cash.

What is true?

Answer: C. Matching the bank does not catch cash moves outside the account

Cash outside the bank needs its own records.

- ✗ A. Cash never needs recording: it does
- ✗ B. All money is always perfect: not necessarily
- ✗ D. The bank automatically records the cash kept in her drawer: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S37-F2-Q5 · question page 777

ENT.BANK.05 · Handle the complications: fraud, timing and delays

Which statement is accurate?

Answer: B. Reconciling regularly catches errors and fraud sooner.

Regular checks help.

- ✗ A. Reconciling is only needed by large companies with many staff.: all benefit
- ✗ C. Reconciling replaces keeping receipts.: receipts still matter
- ✗ D. Banks never make mistakes.: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S38-M-Q1 · question page 779

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Which address receives official legal papers?

Answer: D. The registered agent address

The registered agent receives legal papers.

- ✗ A. The mailing address used for catalogs and bills: ordinary mail
- ✗ B. The address of the owner's favorite supplier: not the business's address
- ✗ C. The address printed on the shipping boxes: not a legal role

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-M-Q2 · question page 780

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Where does the business actually operate?

Answer: B. Its physical address

The physical address is where work happens.

- ✗ A. Its website's domain name registrar: not a place of operation
- ✗ C. Its bank's main headquarters building: not where it operates
- ✗ D. Its registered agent's office in every case: may differ

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-M-Q3 · question page 781

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Which address can often be a PO Box?

Answer: C. The mailing address

Many mailing addresses can be PO Boxes.

- ✗ A. The physical place where customers visit: a box is not a workplace
- ✗ B. The kitchen where food is prepared: a physical place
- ✗ D. The registered agent address in Washington: not allowed there

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-M-Q4 · question page 782

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Why might a home-based owner avoid listing her home on every form?

Answer: A. Some addresses appear in public records

Public records can expose a home address.

✗ B. Home addresses are banned for every business: not banned

✗ C. Using a home address doubles the tax owed: no such rule

✗ D. Mail cannot be delivered to houses at all: it can

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-M-Q5 · question page 783

ENT.MAIL.01 · Tell apart the registered agent, mailing and physical addresses

Who sets the rules for registered agent addresses?

Answer: B. Each state

State rules apply; Washington is one example.

✗ A. The owner's neighbors on the same street: not a rule maker

✗ C. Each customer who buys from the business: not customers

✗ D. The business's favorite delivery company: not a rule maker

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-B1-Q1 · question page 784

ENT.MAIL.01 · Doors of a house

The slot where letters drop matches which address?

Answer: D. The mailing address

Everyday mail goes to the mailing address.

✗ A. The website address for online visitors: not in the picture

✗ B. The registered agent address for papers: the official door

✗ C. The physical address of the workshop: that is the rooms

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-B1-Q2 · question page 785

ENT.MAIL.01 · Doors of a house

The rooms where the family lives match which address?

Answer: A. The physical address

Work happens at the physical address.

- ✗ B. The bank's branch address downtown: not in the picture
- ✗ C. The mailing address on envelopes: that is the slot
- ✗ D. The registered agent address only: the official door

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-B1-Q3 · question page 786

ENT.MAIL.01 · Doors of a house

The official door for legal papers matches which address?

Answer: C. The registered agent address

Legal papers go to the agent.

- ✗ A. The email address for customers: not in the picture
- ✗ B. The physical address of a warehouse: where work happens
- ✗ D. The mailing address for catalogs: everyday mail

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-B1-Q4 · question page 787

ENT.MAIL.01 · Doors of a house

Can all three addresses be the same place?

Answer: D. Yes, sometimes

They can match or differ.

- ✗ A. Only if the business has no customers: not the rule
- ✗ B. No, never under any state law: they can match
- ✗ C. Only for companies with 500 workers: size is not the rule

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-B1-Q5 · question page 788

ENT.MAIL.01 · Doors of a house

How many kinds of address does the picture show?

Answer: A. Three

Agent, mailing and physical.

- ✗ B. Two, mail and email: not the roles shown
- ✗ C. Ten, one for each room in the house: not the roles
- ✗ D. One, because a business has only one address: there are three roles

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F1-Q1 · question page 789

ENT.MAIL.01 · Apply it: choose an address for each job

Ruth runs an online shop from her apartment in Washington and wants privacy. Which plan fits her state's rule?

Answer: D. A registered agent service for legal papers, and a PO Box for mail

An agent service and a mailing box keep her home off some records.

- ✗ A. Her PO Box as the registered agent address, and her home for mail: Washington does not allow that
- ✗ B. No address on any form at all: addresses are required
- ✗ C. A made-up street address on every form: false information

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F1-Q2 · question page 790

ENT.MAIL.01 · Apply it: choose an address for each job

A bakery has a storefront where customers buy bread. What is its physical address?

Answer: B. The storefront's street address

The storefront is where it operates.

- ✗ A. The flour supplier's warehouse address: not the bakery
- ✗ C. The owner's PO Box at the post office: that is mailing
- ✗ D. The registered agent service's office: that is for papers

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F1-Q3 · question page 791

ENT.MAIL.01 · Apply it: choose an address for each job

Which address should a supplier use to send a monthly bill?

Answer: A. The mailing address

Ordinary bills go to the mailing address.

- ✗ B. A customer's home address: not the business
- ✗ C. The registered agent address for lawsuits: for legal papers
- ✗ D. The state filing office address: not the business

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F1-Q4 · question page 792

ENT.MAIL.01 · Apply it: choose an address for each job

A registered agent service costs 125 dollars a year and a PO Box costs 90 dollars a year. What is the yearly total for both?

Answer: B. 215 dollars

125 + 90 = 215 dollars (example prices).

- ✗ A. 90 dollars, the PO Box alone: only one item
- ✗ C. 125 dollars, the agent service alone: only one item
- ✗ D. 35 dollars, the difference: subtracted

Arithmetic checked by code: yes. Sources: state_agent

S38-F1-Q5 · question page 793

ENT.MAIL.01 · Apply it: choose an address for each job

Kai lists his home as all three addresses. What is one tradeoff?

Answer: A. His home address may appear in public records

Convenience versus privacy.

- ✗ B. His taxes are automatically doubled: no such rule
- ✗ C. He can never receive any packages: packages can arrive
- ✗ D. His LLC automatically becomes invalid in the state: no such rule

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F2-Q1 · question page 794

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

An owner moves her business to a new building. Which records may need updating?

Answer: C. State filings, bank, licenses and mailing lists

Address changes must be reported to each place.

- ✗ A. Only the logo on her social media page: not enough
- ✗ B. Nothing, because addresses update themselves: not automatic
- ✗ D. Only her personal library card: not business records

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F2-Q2 · question page 795

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

A friend in another state says PO Boxes are fine for registered agents everywhere. What should the owner do?

Answer: D. Check her own state's official rules

State rules differ.

- ✗ A. Follow the friend because all states match: they differ

✗ B. Skip naming a registered agent: usually required

✗ C. Use a PO Box and hope the state accepts it: may be rejected

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F2-Q3 · question page 796

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

A registered agent service forwards legal papers by email. What should the owner do when one arrives?

Answer: D. Read it promptly, because legal papers can have deadlines

Legal papers often require timely action.

✗ A. Ignore it until year end: deadlines may pass

✗ B. Delete it if the subject line looks boring or routine: may be important

✗ C. Forward it to customers: not appropriate

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F2-Q4 · question page 797

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

Which statement about public records is accurate?

Answer: A. Some business addresses are visible to the public.

Plan with privacy in mind.

✗ B. Every business address is always kept secret.: not true

✗ C. Only email addresses are public.: not true

✗ D. Public records never include addresses.: not true

Arithmetic checked by code: not applicable. Sources: state_agent

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S38-F2-Q5 · question page 798

ENT.MAIL.01 · Handle the complications: moves, privacy and state differences

Which source should confirm address rules for a filing?

Answer: B. The state's official filing office or website

Official sources give the current rule.

- ✗ A. A post on a neighborhood message board: unreliable
- ✗ C. A shipping company's ad: not the rule maker
- ✗ D. A guess based on another state's rule: differs

Arithmetic checked by code: not applicable. Sources: state_agent

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S39-M-Q1 · question page 800

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

Where is a PO Box rented?

Answer: A. At a Post Office

PO Boxes are rented from the Postal Service.

- ✗ B. At the state business filing office: not a PO Box
- ✗ C. At any coffee shop that sells stamps: not a PO Box
- ✗ D. At a bank branch near the business: not a PO Box

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-M-Q2 · question page 801

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

What does the Street Addressing option allow?

Answer: C. Using the Post Office's street address with the box number

It lets carriers that need a street address deliver.

- ✗ A. Skipping the box rental fee for a year: not the purpose
- ✗ B. Receiving legal papers in every state: agent rules differ
- ✗ D. Using any home address on the street as if it were the box: not allowed

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-M-Q3 · question page 802

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

What is a CMRA?

Answer: A. A private business that receives mail for customers

CMRAs offer private mailboxes.

- ✗ B. A government agency that issues tax ID numbers to businesses: that is the IRS
- ✗ C. A state rule for registered agents: not a rule
- ✗ D. A type of business bank account: not a bank account

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-M-Q4 · question page 803

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

Which form is used so a CMRA can receive mail for a customer?

Answer: B. USPS Form 1583

Form 1583 authorizes the CMRA.

- ✗ A. A state DBA certificate: a name filing
- ✗ C. A city business license form: local permission
- ✗ D. IRS Form SS-4 for an EIN: that is a tax form

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-M-Q5 · question page 804

ENT.MAIL.02 · Compare PO Boxes, private mailboxes and PO Box street addressing

Is Street Addressing offered at every Post Office?

Answer: A. No; availability varies

Ask the specific Post Office.

✗ B. Only at locations in large cities: not stated

✗ C. Only for customers with no business: not the rule

✗ D. Yes, at every single location: not everywhere

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-B1-Q1 · question page 805

ENT.MAIL.02 · Lockers at a gym

A PO Box is like a locker where?

Answer: B. At the post office

PO Boxes are at post offices.

✗ A. At your house: no

✗ C. At the bank: no

✗ D. At a private shop: that is a private mailbox

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-B1-Q2 · question page 806

ENT.MAIL.02 · Lockers at a gym

A private mailbox is like a locker where?

Answer: D. At a private shop

Private stores offer them.

✗ A. At the state office: no

✗ B. At the post office: that is a PO Box

✗ C. At a school: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-B1-Q3 · question page 807

ENT.MAIL.02 · Lockers at a gym

Why sign a form at the private shop?

Answer: D. So the shop may accept your mail

Permission is required.

- ✗ A. To open a bank account at the shop: no
- ✗ B. To get a discount: not the reason
- ✗ C. To change your name: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-B1-Q4 · question page 808

ENT.MAIL.02 · Lockers at a gym

Why do some post offices offer a street address?

Answer: B. Some carriers deliver only to street addresses

It helps carriers that need a street address.

- ✗ A. To lower taxes: no
- ✗ C. To make the lockers bigger for packages: no
- ✗ D. To replace the key: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-B1-Q5 · question page 809

ENT.MAIL.02 · Lockers at a gym

What do you add to the post office's street address?

Answer: C. Your box number

The box number routes the mail.

- ✗ A. Your birthday: no
- ✗ B. Your phone number: no
- ✗ D. Your logo: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F1-Q1 · question page 810

ENT.MAIL.02 · Apply it: pick a mailbox option

Ana ships products and her suppliers use private package carriers that need a street address. She rents a PO Box. What should she ask her Post Office?

Answer: C. Whether it offers the Street Addressing option

Street Addressing can let those carriers deliver.

- ✗ A. Whether it is open on holidays: not the need
- ✗ B. Whether it can file her taxes: no
- ✗ D. Whether it sells padded envelopes in bulk at a discount: not the need

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F1-Q2 · question page 811

ENT.MAIL.02 · Apply it: pick a mailbox option

Ben rents a box at a private mail store. What must he complete so the store may receive his mail?

Answer: D. USPS Form 1583 with identity documents

Form 1583 authorizes the CMRA.

- ✗ A. A business license renewal: not this purpose
- ✗ B. A trademark application: not this purpose
- ✗ C. An IRS application for a new EIN number: not this purpose

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F1-Q3 · question page 812

ENT.MAIL.02 · Apply it: pick a mailbox option

A PO Box costs 40 dollars for 3 months. What is the cost for 12 months at the same rate?

Answer: A. 160 dollars

12 / 3 = 4 periods; 4 x 40 = 160 dollars (example price).

- ✗ B. 40 dollars, the same as 3 months: only one period
- ✗ C. 120 dollars, three times the fee: miscounted periods
- ✗ D. 480 dollars, twelve times the fee: multiplied by months

Arithmetic checked by code: yes. Sources: usps_pobox; usps_1583

S39-F1-Q4 · question page 813

ENT.MAIL.02 · Apply it: pick a mailbox option

A private mailbox costs 25 dollars a month; a PO Box costs 160 dollars a year. How much more does the private mailbox cost per year?

Answer: B. 140 dollars

25 x 12 = 300; 300 - 160 = 140 dollars (example prices).

- ✗ A. 160 dollars, the PO Box alone: not the difference
- ✗ C. 135 dollars, a small miscalculation: arithmetic slip
- ✗ D. 300 dollars, the private box alone: not the difference

Arithmetic checked by code: yes. Sources: usps_pobox; usps_1583

S39-F1-Q5 · question page 814

ENT.MAIL.02 · Apply it: pick a mailbox option

Which option is run by a private business?

Answer: D. A private mailbox at a CMRA

CMRAs are private businesses.

- ✗ A. PO Box Street Addressing: postal
- ✗ B. Home mail delivery by the Postal Service: postal
- ✗ C. A PO Box at the Post Office: postal

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F2-Q1 · question page 815

ENT.MAIL.02 · Handle the complications: rules that change and limits

An online article from several years ago explains Form 1583 steps. What is the concern?

Answer: A. Requirements have changed, so check the current form

Use the current form and the provider's instructions.

- ✗ B. Online articles are always newer than the official forms: not true
- ✗ C. Nothing; postal forms never change: they can change
- ✗ D. The form no longer exists for anyone: not stated

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F2-Q2 · question page 816

ENT.MAIL.02 · Handle the complications: rules that change and limits

An owner wants to use her private mailbox as her registered agent address in Washington. What is the issue?

Answer: D. Washington does not allow private or virtual mailboxes for it

The agent needs a physical in-state street address.

- ✗ A. It must be a PO Box instead: also not allowed there
- ✗ B. Private mailboxes cannot receive any mail or packages at all: they can
- ✗ C. No issue; any box works in every state: not in Washington

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F2-Q3 · question page 817

ENT.MAIL.02 · Handle the complications: rules that change and limits

A box holder using Street Addressing gives a package carrier the address. What must be included?

Answer: B. The box number with the Post Office street address

The box number is part of the address.

- ✗ A. Her home address instead: defeats the purpose

✗ C. The Post Office's phone number: not an address

✗ D. Only the Post Office street address with no box number: mail cannot be routed

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F2-Q4 · question page 818

ENT.MAIL.02 · Handle the complications: rules that change and limits

A mail store closes suddenly. What should an owner using it do first?

Answer: C. Update her mailing address with banks, customers and agencies

A changed mailing address must be updated everywhere.

✗ A. Do nothing; mail forwards itself forever: not guaranteed

✗ B. Close the business entirely: too extreme

✗ D. Wait a few months to see if her mail still arrives somewhere: risky

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S39-F2-Q5 · question page 819

ENT.MAIL.02 · Handle the complications: rules that change and limits

Which statement is accurate?

Answer: B. Availability and rules vary, so confirm with the Post Office or provider.

Check the specific location.

✗ A. PO Boxes are free.: they are rented

✗ C. Every Post Office offers every service at the same price nationwide.: not true

✗ D. Private mailboxes need no paperwork.: Form 1583 applies

Arithmetic checked by code: not applicable. Sources: usps_pobox; usps_1583

S40-M-Q1 · question page 821

ENT.MAIL.03 · Match each organization to the kind of address it accepts

In Washington, what can be listed separately as a mailing address?

Answer: B. A PO Box

A PO Box can be the mailing address.

- ✗ A. A made-up address that sounds official: false information
- ✗ C. Nothing other than the agent's address: a separate mailing address is allowed
- ✗ D. The address of another state's office: not appropriate

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-M-Q2 · question page 822

ENT.MAIL.03 · Match each organization to the kind of address it accepts

Why might a package carrier fail to deliver to a plain PO Box?

Answer: A. Some carriers need a street address

Street addresses are needed by some carriers.

- ✗ B. Package carriers deliver only to banks: not true
- ✗ C. PO Boxes are only for postcards and nothing else: boxes hold more
- ✗ D. Packages are not allowed for businesses: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-M-Q3 · question page 823

ENT.MAIL.03 · Match each organization to the kind of address it accepts

What should an owner do before filling in an address on a form?

Answer: C. Read what kind of address the form asks for

Each form may require a specific type.

- ✗ A. Copy an address from a competitor's form: false information

✗ B. Use whichever address is shortest to write: may be the wrong kind

✗ D. Leave the address line blank to stay private: forms may be rejected

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-M-Q4 · question page 824

ENT.MAIL.03 · Match each organization to the kind of address it accepts

Which organization may require a physical address when opening an account?

Answer: D. A bank

Banks may ask for a physical address.

✗ A. A supplier of packing tape: not usually

✗ B. A social media follower: not relevant

✗ C. A customer buying one product online: not usually

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-M-Q5 · question page 825

ENT.MAIL.03 · Match each organization to the kind of address it accepts

Which address does a state usually require for the registered agent?

Answer: B. A physical in-state street address

Agents need a physical location.

✗ A. A PO Box in any state: often not allowed

✗ C. A phone number with voicemail: not an address

✗ D. Any email address the owner checks: not a physical address

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-B1-Q1 · question page 826

ENT.MAIL.03 · Different doors accept different deliveries

Where do big deliveries go at the school?

Answer: D. The loading dock

Each door has its own job.

- ✗ A. The classroom: homework only
- ✗ B. The parking lot: not a door
- ✗ C. The office mail tray: letters

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-B1-Q2 · question page 827

ENT.MAIL.03 · Different doors accept different deliveries

Ordinary letters for a business can often go where?

Answer: C. A PO Box

Letters often go to a box.

- ✗ A. A loading dock only: no
- ✗ B. Nowhere: they must go somewhere
- ✗ D. Only a registered agent: not ordinary mail

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-B1-Q3 · question page 828

ENT.MAIL.03 · Different doors accept different deliveries

Legal papers usually need what kind of address?

Answer: A. A real street address

Papers need a physical place.

- ✗ B. An email only: not usually
- ✗ C. A phone number with voicemail: not an address
- ✗ D. Any PO Box: often not allowed

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

S40-B1-Q4 · question page 829

ENT.MAIL.03 · Different doors accept different deliveries

Some packages need what kind of address?

Answer: B. A street address

Some carriers need a street address.

- ✗ A. A PO Box only: some carriers cannot
- ✗ C. A website: no
- ✗ D. A phone number: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

S40-B1-Q5 · question page 830

ENT.MAIL.03 · Different doors accept different deliveries

Sending a truck to a classroom is like what mistake?

Answer: D. Using the wrong address type

Match the address to the job.

- ✗ A. Using a pen: no
- ✗ B. Paying a bill: no
- ✗ C. Writing a short letter to a friend: no

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

S40-F1-Q1 · question page 831

ENT.MAIL.03 · Apply it: fill in the right address

Tom's Washington LLC form asks for the registered agent address and a mailing address. He has a PO Box and an agent service. What fits?

Answer: C. Agent service address for the agent; PO Box for mailing

Match each line to the allowed type.

✗ A. Agent service for mailing and PO Box for the agent: reversed

✗ B. Leave both lines blank: rejected

✗ D. PO Box for both lines: not allowed for the agent

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-F1-Q2 · question page 832

ENT.MAIL.03 · Apply it: fill in the right address

A supplier ships by a private carrier that cannot deliver to plain PO Boxes. The owner's Post Office offers Street Addressing. What should she give the supplier?

Answer: A. The Post Office street address with her box number

Street Addressing helps here.

✗ B. A neighbor's street address, without asking first: not appropriate

✗ C. Her plain PO Box number only: carrier cannot deliver

✗ D. The registered agent's address: not for packages

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-F1-Q3 · question page 833

ENT.MAIL.03 · Apply it: fill in the right address

Of 5 forms, 2 require a physical street address and the rest accept a PO Box. How many accept a PO Box?

Answer: D. 3

5 - 2 = 3 forms.

✗ A. 7, the two numbers added: added

✗ B. 2, the forms needing a street address: reversed

✗ C. 5, every one of the forms: not all

Arithmetic checked by code: yes. Sources: usps_pobox; state_agent

---

S40-F1-Q4 · question page 834

ENT.MAIL.03 · Apply it: fill in the right address

A bank form asks for the business's physical address. The owner works from home. What should she write?

Answer: D. Her actual home address, if that is where the business operates

Give truthful information of the requested type.

- ✗ A. The bank's own address: not her business
- ✗ B. Her PO Box number, labeled on the form as her physical address: not physical
- ✗ C. A fake address for privacy: false information

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-F1-Q5 · question page 835

ENT.MAIL.03 · Apply it: fill in the right address

Which address type is most often accepted for ordinary bills and letters?

Answer: C. A mailing address such as a PO Box

Mailing addresses handle ordinary mail.

- ✗ A. Only the registered agent address: not required for bills
- ✗ B. Only a storefront address: not required
- ✗ D. Only an overseas address: not appropriate

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

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S40-F2-Q1 · question page 836

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

A state rejected a filing because the agent address was a private mailbox. What should the owner do?

Answer: B. Name an agent with a physical in-state address and refile

Fix the address type.

✗ A. Use a PO Box instead of the private mailbox and refile: also often rejected

✗ C. Give up on forming the LLC: not necessary

✗ D. File the same form again unchanged: will be rejected again

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-F2-Q2 · question page 837

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

A licensing office asks for a physical address but the owner has only a PO Box. What should she do?

Answer: C. Ask the office what address it accepts for her situation

Ask the issuer when unsure.

✗ A. Write the PO Box anyway and call it her physical address: misleading

✗ B. Use a random street address: false information

✗ D. Skip the license: not compliant

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-F2-Q3 · question page 838

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

Which mistake is most likely to cause missed legal papers?

Answer: C. Listing an address where no one receives documents

The agent address must be monitored.

✗ A. Using a business email for customers: fine

✗ B. Listing a PO Box as the ordinary mailing address: often fine

✗ D. Printing the address on invoices: fine

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-F2-Q4 · question page 839

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

An owner used three different addresses on her forms. Is that wrong?

Answer: D. Not necessarily, if each fits the form's request

Different forms can need different types.

- ✗ A. Yes, it is always illegal: not true
- ✗ B. Yes, the bank will close her account: not necessarily
- ✗ C. Yes, businesses may only have one address: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S40-F2-Q5 · question page 840

ENT.MAIL.03 · Handle the complications: rejected forms and mixed rules

Which statement is accurate?

Answer: B. Address rules depend on the organization and state, so read each form.

Check each requirement.

- ✗ A. Only email addresses matter today.: not true
- ✗ C. Every organization accepts a PO Box for every kind of address.: not true
- ✗ D. No organization accepts PO Boxes.: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox; state_agent

---

S41-M-Q1 · question page 842

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

Why plan how often to check a business mailbox?

Answer: C. Important letters can have deadlines

Bills and notices may need action.

- ✗ A. Boxes must be emptied every hour by law: no such rule

✗ B. Checking often lowers the rental fee: not how fees work

✗ D. Mail disappears after exactly one day: not the reason

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

S41-M-Q2 · question page 843

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

What may happen if a box rental is not renewed?

Answer: A. The box can be closed and mail disrupted

Renew before the period ends.

✗ B. The Post Office files the owner's taxes: not its job

✗ C. The box becomes free for life: not how rentals work

✗ D. Mail is automatically sent to customers: not how it works

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

S41-M-Q3 · question page 844

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

When moving, what should the owner do besides forwarding mail?

Answer: B. Update the address with banks, customers and agencies

Records still need updating.

✗ A. Cancel the business bank account: not required

✗ C. Only change the logo on her website: not an address update

✗ D. Nothing, because forwarding fixes everything forever: not a full fix

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

S41-M-Q4 · question page 845

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

What do PO Box fees depend on?

Answer: D. Location and box size

Fees vary by location and size.

- ✗ A. How many products the business sells: not the basis
- ✗ B. The business's logo colors: irrelevant
- ✗ C. The owner's age and height: irrelevant

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

S41-M-Q5 · question page 846

ENT.MAIL.04 · Plan box size, checking, renewals and address updates

Which is a good practice for mailbox keys?

Answer: B. Keep them safe and decide who may use them

Control access to business mail.

- ✗ A. Give keys to any customer who asks: unsafe
- ✗ C. Never decide who picks up mail: causes confusion
- ✗ D. Tape a spare key to the outside of the box: unsafe

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

S41-B1-Q1 · question page 847

ENT.MAIL.04 · Renting a storage unit

Choosing a mailbox size is like what?

Answer: A. Choosing a storage unit size

Pick a size that fits.

- ✗ B. Choosing a movie to watch: no
- ✗ C. Choosing a meal: no
- ✗ D. Choosing a song: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

S41-B1-Q2 · question page 848

ENT.MAIL.04 · Renting a storage unit

What happens if you forget to pay for the unit?

Answer: D. It can be closed

Renewal matters.

- ✗ A. Nothing at all: it can be closed
- ✗ B. It becomes free: no
- ✗ C. It gets bigger: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

S41-B1-Q3 · question page 849

ENT.MAIL.04 · Renting a storage unit

Why check the unit regularly?

Answer: C. To find important items in time

Regular checks catch deadlines.

- ✗ A. To make it heavier: no
- ✗ B. To lower taxes: no
- ✗ D. To change the color of its door: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

S41-B1-Q4 · question page 850

ENT.MAIL.04 · Renting a storage unit

What should you do with the key?

Answer: B. Keep it safe

Protect access.

✗ A. Leave it in the lock: unsafe

✗ C. Share it with strangers: unsafe

✗ D. Lose it: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

S41-B1-Q5 · question page 851

ENT.MAIL.04 · Renting a storage unit

If you move, what do you tell people?

Answer: C. Your new location

Update your address.

✗ A. A fake location: no

✗ B. Your old location: no

✗ D. Nothing: no

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F1-Q1 · question page 852

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

A small box costs 60 dollars for 6 months and a medium box costs 95 dollars for 6 months. How much more does the medium box cost per year?

Answer: A. 70 dollars

(95 - 60) x 2 = 70 dollars (example prices).

✗ B. 190 dollars, the medium box per year: not the difference

✗ C. 120 dollars, the small box per year: not the difference

✗ D. 35 dollars, the 6-month difference: only half a year

Arithmetic checked by code: yes. Sources: usps_pobox

S41-F1-Q2 · question page 853

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

Mia receives tax notices that give 30 days to respond. She checks her box once a month. What is a better plan?

Answer: D. Check at least weekly

More frequent checks leave time to respond.

- ✗ A. Check once a year: too rare
- ✗ B. Check only when she remembers: unreliable
- ✗ C. Never check; notices arrive by email: not always

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F1-Q3 · question page 854

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

A box was rented on March 1 for 6 months. When does it need renewal?

Answer: A. By September 1

March + 6 months = September.

- ✗ B. By March 1 next year: a year is too long
- ✗ C. Never; rentals last forever: they expire
- ✗ D. By April 1, one month later: too early

Arithmetic checked by code: yes. Sources: usps_pobox

S41-F1-Q4 · question page 855

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

An owner's employee picks up mail. What should the owner set up?

Answer: D. Clear permission and a key for that employee only

Control who has access.

- ✗ A. No rules about who collects mail: confusing
- ✗ B. A key hidden under the doormat: unsafe
- ✗ C. A sign on the wall that lists the box's lock combination: unsafe

Arithmetic checked by code: not applicable. Sources: usps_pobox

---

S41-F1-Q5 · question page 856

ENT.MAIL.04 · Apply it: budget and schedule a mailbox

A business moved and set up mail forwarding. Six months later some mail still goes to the old address. What is the fix?

Answer: B. Update the address directly with those senders

Senders need the new address.

- ✗ A. Ignore the misdirected mail: risky
- ✗ C. Rely on forwarding forever: it may end
- ✗ D. Move the business back to the old address: unnecessary

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F2-Q1 · question page 857

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

A package is too large for the box. What should the owner ask the Post Office?

Answer: C. How it handles packages that do not fit

Many locations hold packages for pickup; ask how.

- ✗ A. Whether packages are banned for businesses: not true
- ✗ B. Whether it can deliver to her neighbor without asking: not appropriate
- ✗ D. Whether she must rent ten boxes: not necessary

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F2-Q2 · question page 858

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

An owner travels for three weeks. What is a sensible plan for her business mail?

Answer: D. Arrange for a trusted person or a hold service

Plan coverage while away.

- ✗ A. Let mail pile up and hope nothing is urgent: risky
- ✗ B. Ask customers to stop writing: unrealistic
- ✗ C. Close the box for the trip: disrupts mail

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F2-Q3 · question page 859

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

A late fee notice arrived in the box two weeks ago, but she checked late. What lesson fits?

Answer: D. Regular checks prevent missed deadlines

Build a checking routine.

- ✗ A. Mailboxes cause late fees: missed checking did
- ✗ B. Bills never matter: they do
- ✗ C. Late fees are always forgiven if you ask: not always

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S41-F2-Q4 · question page 860

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

Box rent rises from 120 to 150 dollars a year. What is the percent increase?

Answer: C. 25 percent

(150 - 120) / 120 = 0.25 = 25 percent.

- ✗ A. 150 percent, the new price: not the increase
- ✗ B. 20 percent, based on the new price: wrong base
- ✗ D. 30 percent, the dollar change: used dollars as percent

Arithmetic checked by code: yes. Sources: usps_pobox

S41-F2-Q5 · question page 861

ENT.MAIL.04 · Handle the complications: packages, travel and missed mail

Which statement is accurate?

Answer: C. Fees and services vary by location, so ask the specific Post Office.

Confirm locally.

- ✗ A. Forwarding replaces updating records.: not true
- ✗ B. Every Post Office charges the same price for every box size.: not true
- ✗ D. Boxes never need renewal.: not true

Arithmetic checked by code: not applicable. Sources: usps_pobox

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S42-M-Q1 · question page 863

ENT.MAIL.05 · Set up professional email, phone and voicemail

Which email address looks most established for a business called Lime Tree Pets?

Answer: B. hello@limetreepets.example

An address on the business domain looks established.

- ✗ A. xyz123@freemail.example: random
- ✗ C. catsrule99@freemail.example: unrelated name
- ✗ D. limetreefan2003@freemail.example: personal style

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-M-Q2 · question page 864

ENT.MAIL.05 · Set up professional email, phone and voicemail

Why use a separate business phone number?

Answer: A. It separates business calls and protects privacy

Separation and privacy are the main benefits.

- ✗ B. It doubles the number of customers each month: not guaranteed
- ✗ C. It is required for every business by federal law: not a universal law

✗ D. It removes the need for any email: still useful

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-M-Q3 · question page 865

ENT.MAIL.05 · Set up professional email, phone and voicemail

What should a business voicemail greeting include?

Answer: C. The business name and when to expect a reply

Name and response time help callers.

✗ A. Nothing; silence is professional: confusing
✗ B. A long story about the founder: too long
✗ D. The owner's home address and birthday: privacy risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-M-Q4 · question page 866

ENT.MAIL.05 · Set up professional email, phone and voicemail

A greeting promises a reply within one business day. What builds trust?

Answer: D. Actually replying within one business day

Kept promises build trust.

✗ A. Replying whenever convenient, even a week later: breaks the promise
✗ B. Deleting messages from unknown numbers: loses customers
✗ C. Changing the promise every week: confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-M-Q5 · question page 867

ENT.MAIL.05 · Set up professional email, phone and voicemail

What is a web domain?

Answer: A. The business's own website name, like yourshop.example

A domain can also host email.

- ✗ B. A type of business bank account: not a domain
- ✗ C. A shipping label format: not a domain
- ✗ D. A state filing that registers the business's legal name: that is a DBA or entity

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-B1-Q1 · question page 868

ENT.MAIL.05 · A shop's front window and bell

A business email on its own web name is like what?

Answer: C. A clean shop window

It looks tidy and ready.

- ✗ A. A broken shop bell: no
- ✗ B. A dark sign: no
- ✗ D. A locked door: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-B1-Q2 · question page 869

ENT.MAIL.05 · A shop's front window and bell

Why keep a separate business phone?

Answer: B. To keep business calls apart from family calls

Separation helps.

- ✗ A. To avoid hearing from any customers at all: no
- ✗ C. To raise prices: no
- ✗ D. To get more ads: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-B1-Q3 · question page 870

ENT.MAIL.05 · A shop's front window and bell

A voicemail greeting should say what?

Answer: C. Who you are and when you will call back

Name and timing.

- ✗ A. A joke only: not helpful
- ✗ B. Your bank PIN and online password: unsafe
- ✗ D. Nothing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-B1-Q4 · question page 871

ENT.MAIL.05 · A shop's front window and bell

A bell that works tells customers what?

Answer: A. Someone is ready to help

Reachability builds trust.

- ✗ B. The owner left: no
- ✗ C. The shop is closed for good: no
- ✗ D. Prices went up: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-B1-Q5 · question page 872

ENT.MAIL.05 · A shop's front window and bell

Email, phone and voicemail are like what for a modern shop?

Answer: D. Its window and bell

They are how customers reach you.

✗ A. Its back parking lot: no

✗ B. Its basement: no

✗ C. Its roof: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F1-Q1 · question page 873

ENT.MAIL.05 · Apply it: improve contact details

Rita's flyers list "rita.party.girl@freemail.example." She owns ritasbakes.example. What is the best change?

Answer: B. Use an address like orders@ritasbakes.example

A domain address looks professional.

✗ A. Remove all contact details from the flyer: customers cannot reach her

✗ C. Keep the personal address on every flyer: less established

✗ D. List her home address instead of email: privacy risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F1-Q2 · question page 874

ENT.MAIL.05 · Apply it: improve contact details

Leo answers business calls on his personal phone at family dinners. What helps most?

Answer: C. A separate business number with set hours

Separation sets boundaries.

✗ A. Answering every call at any hour: stressful

✗ B. Never answering business calls: loses customers

✗ D. Giving customers his family's numbers: privacy risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F1-Q3 · question page 875

ENT.MAIL.05 · Apply it: improve contact details

A business gets 40 voicemails a month and promises a same-day reply. It replies same day to 34. What percent met the promise?

Answer: A. 85 percent

34 / 40 = 0.85 = 85 percent.

- ✗ B. 15 percent, the ones missed: reversed
- ✗ C. 34 percent, the count itself: not a percent of 40
- ✗ D. 6 percent, the number missed: not a percent

Arithmetic checked by code: yes. Sources: none (stable)

S42-F1-Q4 · question page 876

ENT.MAIL.05 · Apply it: improve contact details

Which voicemail greeting is best?

Answer: A. "You've reached Pine Cleaners. We reply within one business day."

Clear name and promise.

- ✗ B. "Call my cousin instead at home.": unprofessional
- ✗ C. "Hey, it's me. Leave something after the beep, maybe I'll call.": unclear
- ✗ D. "This number is unavailable forever.": confusing

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F1-Q5 · question page 877

ENT.MAIL.05 · Apply it: improve contact details

A customer emails on Saturday; the business replies Monday as its auto-reply promised. Was the promise kept?

Answer: C. Yes, it matched what was promised

Keeping the stated promise builds trust.

- ✗ A. No, weekends are banned for email: not true

✗ B. Only if the reply was very long: length is not the test

✗ D. No, every email needs a reply in minutes: not what was promised

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F2-Q1 · question page 878

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

Customers call at midnight. What is a reasonable boundary?

Answer: B. State business hours in the greeting and reply then

Set and share clear hours.

✗ A. Answer every midnight call to keep them happy: unsustainable

✗ C. Give out a personal number for night calls: privacy risk

✗ D. Block all customer numbers: loses customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F2-Q2 · question page 879

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

An email claims to be from the owner's bank and asks for her password. What should she do?

Answer: B. Contact the bank through its official number

Verify through official channels.

✗ A. Click the email link and log in to check: scam risk

✗ C. Reply with the password quickly: scam risk

✗ D. Forward it to customers: not helpful

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F2-Q3 · question page 880

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

The owner's inbox gets 200 messages a week and replies are slipping. Which step helps most?

Answer: C. Use folders or templates for common questions

Organized tools save time.

- ✗ A. Stop listing any email address: customers cannot reach her
- ✗ B. Delete every message unread: loses customers
- ✗ D. Promise faster replies she cannot meet: breaks trust

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F2-Q4 · question page 881

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

A greeting promises a reply in one hour, but the owner is often away for half a day. What should change?

Answer: A. Promise a time she can actually meet

Promises should be realistic.

- ✗ B. Keep the promise and miss it often: breaks trust
- ✗ C. Remove the voicemail entirely: confusing
- ✗ D. Never check messages: loses customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S42-F2-Q5 · question page 882

ENT.MAIL.05 · Handle the complications: privacy, overload and scams

Which statement is accurate?

Answer: A. Clear, realistic response promises build more trust than fast but broken ones.

Reliability builds trust.

- ✗ B. Free email addresses are illegal for any business to use for customer messages.: not illegal
- ✗ C. A business must answer every call at any hour.: not required

✗ D. Customers never care about replies.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-M-Q1 · question page 884

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Which is a one-time cost?

Answer: B. Buying a used oven to start a bakery

Equipment bought once to start is one-time.

✗ A. Renewing the business license every year: repeats yearly
✗ C. Paying for a website hosting plan each month: repeats monthly
✗ D. Paying the monthly rent for the bakery space: repeats monthly

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-M-Q2 · question page 885

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Which is a recurring cost?

Answer: A. A software subscription paid monthly

Subscriptions repeat.

✗ B. A sewing machine bought on opening day: paid once
✗ C. A single state filing fee to form the LLC: paid once
✗ D. A logo designed once by a freelancer: paid once

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-M-Q3 · question page 886

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

A phone plan costs 30 dollars a month. What is the yearly cost?

Answer: C. 360 dollars

30 x 12 = 360 dollars.

- ✗ A. 390 dollars: used 13 months
- ✗ B. 300 dollars: used 10 months
- ✗ D. 30 dollars: one month only

Arithmetic checked by code: yes. Sources: none (stable)

S43-M-Q4 · question page 887

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Insurance costs 600 dollars a year. What is that per month?

Answer: D. 50 dollars

600 / 12 = 50 dollars.

- ✗ A. 60 dollars: divided by 10
- ✗ B. 600 dollars: not converted
- ✗ C. 7,200 dollars: multiplied by 12

Arithmetic checked by code: yes. Sources: none (stable)

S43-M-Q5 · question page 888

ENT.COST.01 · Sort costs into one-time and recurring and convert periods

Why convert recurring costs to the same period?

Answer: B. To compare and add them fairly

Same periods allow fair comparison.

- ✗ A. To make every cost look smaller than it is: not the purpose
- ✗ C. Because one-time costs never matter: they do
- ✗ D. Because yearly costs are not real costs: they are real

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-B1-Q1 · question page 889

ENT.COST.01 · Converting between months and years

How many months are in a year?

Answer: C. 12

There are 12 months.

- ✗ A. 7: days in a week
- ✗ B. 10: too few
- ✗ D. 52: weeks in a year

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-B1-Q2 · question page 890

ENT.COST.01 · Converting between months and years

20 dollars a month is how much per year?

Answer: A. 240 dollars

20 x 12 = 240.

- ✗ B. 120 dollars: used 6
- ✗ C. 32 dollars: added 12
- ✗ D. 200 dollars: used 10

Arithmetic checked by code: yes. Sources: none (stable)

S43-B1-Q3 · question page 891

ENT.COST.01 · Converting between months and years

120 dollars a year is how much per month?

Answer: D. 10 dollars

120 / 12 = 10.

- ✗ A. 12 dollars: divided by 10
- ✗ B. 1,440 dollars: multiplied

✗ C. 108 dollars: subtracted 12

Arithmetic checked by code: yes. Sources: none (stable)

S43-B1-Q4 · question page 892

ENT.COST.01 · Converting between months and years

To change a monthly amount to yearly, you do what?

Answer: C. Multiply by 12

Multiply monthly by 12.

✗ A. Add 12: not a conversion
✗ B. Divide by 12: that is yearly to monthly
✗ D. Subtract 12: not a conversion

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-B1-Q5 · question page 893

ENT.COST.01 · Converting between months and years

15 dollars a month is how much per year?

Answer: A. 180 dollars

15 x 12 = 180.

✗ B. 150 dollars: used 10
✗ C. 27 dollars: added 12
✗ D. 165 dollars: used 11

Arithmetic checked by code: yes. Sources: none (stable)

S43-F1-Q1 · question page 894

ENT.COST.01 · Apply it: list and total first-year costs

Startup: a 400-dollar laptop and a 100-dollar filing fee. Recurring: 20 dollars a month for software. What is the total for the first year?

Answer: B. 740 dollars

400 + 100 + 20 x 12 = 740 dollars.

- ✗ A. 240 dollars: software only
- ✗ C. 500 dollars: no software
- ✗ D. 520 dollars: one month of software

Arithmetic checked by code: yes. Sources: none (stable)

S43-F1-Q2 · question page 895

ENT.COST.01 · Apply it: list and total first-year costs

Which cost will continue in year two?

Answer: D. Monthly booth rent at a market

Recurring costs continue.

- ✗ A. The starter set of tools: one-time
- ✗ B. The LLC formation fee: one-time
- ✗ C. The first sign printed for opening: one-time

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-F1-Q3 · question page 896

ENT.COST.01 · Apply it: list and total first-year costs

Website A costs 300 dollars once plus 10 dollars a month. Website B costs 25 dollars a month with no setup fee. Which costs less over the first year?

Answer: C. B, at 300 dollars

A: 300 + 120 = 420; B: 25 x 12 = 300.

- ✗ A. A, at 420 dollars: A costs more
- ✗ B. They cost the same: they differ
- ✗ D. A, at 300 dollars: forgot A's monthly fee

Arithmetic checked by code: yes. Sources: none (stable)

S43-F1-Q4 · question page 897

ENT.COST.01 · Apply it: list and total first-year costs

Using the same two websites, which costs less over 3 years?

Answer: B. A, at 660 dollars

A: 300 + 10 x 36 = 660; B: 25 x 36 = 900.

- ✗ A. B, at 300 dollars: only one year
- ✗ C. B, at 900 dollars: B costs more by year 3
- ✗ D. They cost the same: they differ

Arithmetic checked by code: yes. Sources: none (stable)

S43-F1-Q5 · question page 898

ENT.COST.01 · Apply it: list and total first-year costs

A tutor lists costs: whiteboard (once), monthly ads, yearly license, textbooks (once). How many are recurring?

Answer: A. 2

Monthly ads and yearly license recur.

- ✗ B. 4: counted all
- ✗ C. 1: missed one
- ✗ D. 3: counted a one-time cost

Arithmetic checked by code: yes. Sources: none (stable)

S43-F2-Q1 · question page 899

ENT.COST.01 · Handle the complications: hidden recurring costs

A "free" app charges 15 dollars a month after a 3-month trial. What is the cost in the first year?

Answer: D. 135 dollars

9 paid months x 15 = 135 dollars.

✗ A. 45 dollars: counted trial months

✗ B. 0 dollars: ignored charges after the trial

✗ C. 180 dollars: ignored the trial

Arithmetic checked by code: yes. Sources: none (stable)

S43-F2-Q2 · question page 900

ENT.COST.01 · Handle the complications: hidden recurring costs

An owner budgets the startup laptop but forgets a yearly antivirus renewal. What kind of cost was missed?

Answer: A. A recurring cost

Renewals recur.

✗ B. An owner draw: not a draw

✗ C. A customer refund: not a refund

✗ D. A one-time cost: it repeats yearly

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-F2-Q3 · question page 901

ENT.COST.01 · Handle the complications: hidden recurring costs

A piece of equipment lasts about 3 years and costs 900 dollars. To plan for replacing it, about how much should be set aside each month?

Answer: C. 25 dollars

900 / 36 months = 25 dollars.

✗ A. 300 dollars: per year, not per month

✗ B. 900 dollars: not spread out

✗ D. 75 dollars: divided by 12 only

Arithmetic checked by code: yes. Sources: none (stable)

S43-F2-Q4 · question page 902

ENT.COST.01 · Handle the complications: hidden recurring costs

Which item is easiest to forget when listing recurring costs?

Answer: C. Small subscriptions that renew automatically

Auto-renewals hide easily.

- ✗ A. The first batch of business cards: one-time
- ✗ B. The rent check the owner writes on the first of every month: usually remembered
- ✗ D. The large oven bought on day one: one-time

Arithmetic checked by code: not applicable. Sources: none (stable)

S43-F2-Q5 · question page 903

ENT.COST.01 · Handle the complications: hidden recurring costs

Which statement is accurate?

Answer: D. A one-time cost today can lead to recurring costs later, like repairs.

Plan for follow-on costs.

- ✗ A. All costs are recurring.: not true
- ✗ B. One-time costs never lead to other costs.: not always
- ✗ C. Recurring costs can safely be ignored by small businesses that are new.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-M-Q1 · question page 905

ENT.COST.02 · Classify fixed and variable costs and compute total cost

Which is a variable cost for a bakery?

Answer: B. Flour used for each batch of bread

Ingredients rise with sales.

✗ A. The monthly accounting software plan: fixed

✗ C. Monthly rent for the bakery building: fixed

✗ D. Yearly insurance for the shop: fixed

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-M-Q2 · question page 906

ENT.COST.02 · Classify fixed and variable costs and compute total cost

Which is a fixed cost for an online T-shirt shop?

Answer: D. A monthly website plan

The plan stays the same each month.

✗ A. Payment fees taken from each sale: variable

✗ B. Blank shirts bought for each order: variable

✗ C. Shipping paid on each package: variable

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-M-Q3 · question page 907

ENT.COST.02 · Classify fixed and variable costs and compute total cost

Using the candle example, what does it cost to make 50 candles in a month?

Answer: A. 700 dollars

500 + 4 x 50 = 700 dollars.

✗ B. 900 dollars: used 100 candles

✗ C. 500 dollars: left out wax and jars

✗ D. 200 dollars: left out rent

Arithmetic checked by code: yes. Sources: none (stable)

S44-M-Q4 · question page 908

ENT.COST.02 · Classify fixed and variable costs and compute total cost

If the candle maker sells nothing in a month, what is the total cost?

Answer: C. 500 dollars

Fixed costs remain even with no sales.

- ✗ A. 0 dollars: rent is still due
- ✗ B. 504 dollars: added one candle
- ✗ D. 4 dollars: one candle

Arithmetic checked by code: yes. Sources: none (stable)

S44-M-Q5 · question page 909

ENT.COST.02 · Classify fixed and variable costs and compute total cost

What happens to variable costs when sales double?

Answer: D. They roughly double

Variable costs follow volume.

- ✗ A. They fall to zero: no
- ✗ B. They stay exactly the same: that describes fixed
- ✗ C. They are cut in half: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-B1-Q1 · question page 910

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 100, cost per item 2, items 30. What is the total?

Answer: C. 160

100 + 2 x 30 = 160.

- ✗ A. 60: left out fixed
- ✗ B. 3,060: added first
- ✗ D. 132: added all three

Arithmetic checked by code: yes. Sources: none (stable)

S44-B1-Q2 · question page 911

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Which step comes first in "fixed + rate x quantity"?

Answer: B. Multiply rate by quantity

Multiplication before addition.

- ✗ A. Subtract quantity: not a step
- ✗ C. Divide by fixed: not a step
- ✗ D. Add the fixed cost and the rate: wrong order

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-B1-Q3 · question page 912

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 300, cost per item 5, items 20. What is the total?

Answer: A. 400

300 + 5 x 20 = 400.

- ✗ B. 325: added all
- ✗ C. 6,100: added first
- ✗ D. 100: left out fixed

Arithmetic checked by code: yes. Sources: none (stable)

S44-B1-Q4 · question page 913

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 50, cost per item 10, items 0. What is the total?

Answer: B. 50

50 + 10 x 0 = 50.

✗ A. 0: fixed remains

✗ C. 500: multiplied fixed

✗ D. 60: added rate

Arithmetic checked by code: yes. Sources: none (stable)

S44-B1-Q5 · question page 914

ENT.COST.02 · Evaluating "fixed + rate x quantity"

Fixed 250, cost per item 1.50, items 100. What is the total?

Answer: A. 400

250 + 1.50 x 100 = 400.

✗ B. 150: left out fixed

✗ C. 25,150: added first

✗ D. 351.50: added the rate to items

Arithmetic checked by code: yes. Sources: none (stable)

S44-F1-Q1 · question page 915

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

A soap maker pays 300 dollars a month for a studio and 2 dollars of supplies per bar. What is the cost for 200 bars?

Answer: C. 700 dollars

300 + 2 x 200 = 700 dollars.

✗ A. 302 dollars: one bar

✗ B. 500 dollars: used 100 bars

✗ D. 400 dollars: left out rent

Arithmetic checked by code: yes. Sources: none (stable)

S44-F1-Q2 · question page 916

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

Same soap maker. How much more does it cost to make 300 bars than 200 bars?

Answer: D. 200 dollars

Only variable cost changes: 2 x 100 = 200 dollars.

- ✗ A. 900 dollars: total for 300
- ✗ B. 100 dollars: used 1 dollar per bar
- ✗ C. 300 dollars: added rent again

Arithmetic checked by code: yes. Sources: none (stable)

S44-F1-Q3 · question page 917

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

Which cost is variable for a mobile car wash?

Answer: B. Soap and water used per car

Supplies rise with each wash.

- ✗ A. Yearly business license: fixed
- ✗ C. The van loan payment: fixed
- ✗ D. Monthly phone plan: fixed

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-F1-Q4 · question page 918

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

A dog walker has 60 dollars a month of fixed costs and 1 dollar of variable cost per walk. In a month with 80 walks, what is the average cost per walk?

Answer: A. 1.75 dollars

(60 + 80) / 80 = 1.75 dollars.

- ✗ B. 140 dollars: total cost
- ✗ C. 1.00 dollar: ignored fixed costs
- ✗ D. 0.75 dollars: only fixed per walk

Arithmetic checked by code: yes. Sources: none (stable)

S44-F1-Q5 · question page 919

ENT.COST.02 · Apply it: estimate monthly cost at different sales levels

When sales rise, what happens to the fixed cost per item?

Answer: C. It goes down

The same fixed cost is shared by more items.

- ✗ A. It becomes variable: still fixed
- ✗ B. It goes up: spread over more items
- ✗ D. It stays exactly the same: per-item share changes

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-F2-Q1 · question page 920

ENT.COST.02 · Handle the complications: costs that do not fit neatly

A baker's rent is fixed, but if sales triple she must rent a second oven. What does this show?

Answer: D. Fixed costs can step up at higher volumes

Capacity limits create steps.

- ✗ A. Ovens are variable costs that rise with each loaf: not per loaf
- ✗ B. Fixed costs never change at all: they can step up
- ✗ C. Rent is a variable cost: still fixed

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-F2-Q2 · question page 921

ENT.COST.02 · Handle the complications: costs that do not fit neatly

A shipping service charges 5 dollars per package up to 100 packages, then 4 dollars per package after that. What is the cost for 150 packages?

Answer: C. 700 dollars

100 x 5 + 50 x 4 = 700 dollars.

- ✗ A. 200 dollars: only the extra
- ✗ B. 750 dollars: used 5 dollars for all
- ✗ D. 600 dollars: used 4 dollars for all

Arithmetic checked by code: yes. Sources: none (stable)

S44-F2-Q3 · question page 922

ENT.COST.02 · Handle the complications: costs that do not fit neatly

An owner counts her own hours as free. What cost is missing?

Answer: C. The value of her time

Owner time has value even if unpaid.

- ✗ A. Supplies used for each item: counted
- ✗ B. Rent: counted
- ✗ D. Shipping: counted

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-F2-Q4 · question page 923

ENT.COST.02 · Handle the complications: costs that do not fit neatly

A phone bill is 40 dollars a month plus overage charges in busy months. How should it be planned?

Answer: B. As mostly fixed with a variable part

Some costs are mixed.

- ✗ A. As a one-time cost: recurring
- ✗ C. As a fully variable cost for each sale: mostly fixed
- ✗ D. As free: it costs money

Arithmetic checked by code: not applicable. Sources: none (stable)

S44-F2-Q5 · question page 924

ENT.COST.02 · Handle the complications: costs that do not fit neatly

Which statement is accurate?

Answer: C. Classifying costs is an estimate that helps planning, not an exact law.

Use classification as a tool.

- ✗ A. Fixed costs are always larger than variable costs.: depends
- ✗ B. Every single cost is either perfectly fixed or perfectly variable, always.: some are mixed
- ✗ D. Variable costs never matter for small sellers.: they matter

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-M-Q1 · question page 926

ENT.COST.03 · Build a startup budget with assumptions and contingency

What is a contingency in a budget?

Answer: B. Extra money set aside for surprises

It covers unexpected costs.

- ✗ A. Money owed to customers for refunds: not the meaning
- ✗ C. A tax paid to the state each month: not the meaning
- ✗ D. The owner's profit for the first year: not the meaning

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-M-Q2 · question page 927

ENT.COST.03 · Build a startup budget with assumptions and contingency

Why include several months of recurring costs?

Answer: D. Sales often start slowly

Early months may not cover costs.

✗ A. It makes the budget look smaller: it makes it larger

✗ B. Banks require exactly twelve months listed: not a rule

✗ C. Recurring costs are paid only once: they repeat

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-M-Q3 · question page 928

ENT.COST.03 · Build a startup budget with assumptions and contingency

One-time costs are 2,000 dollars and 3 months of recurring costs are 900 dollars. A 10 percent contingency is added. What is the total budget?

Answer: C. 3,190 dollars

2,900 x 1.10 = 3,190 dollars.

✗ A. 3,100 dollars: contingency on one-time only

✗ B. 2,900 dollars: no contingency

✗ D. 2,990 dollars: added 90 only

Arithmetic checked by code: yes. Sources: none (stable)

S45-M-Q4 · question page 929

ENT.COST.03 · Build a startup budget with assumptions and contingency

What is an assumption in a budget?

Answer: B. A stated guess, like "rent stays 400 dollars a month"

Assumptions can be checked later.

✗ A. A tax form filed with the IRS: a filing

✗ C. A receipt from a supplier: a record

✗ D. A cost the owner has already paid in full to a supplier: not a guess

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-M-Q5 · question page 930

ENT.COST.03 · Build a startup budget with assumptions and contingency

A budget totals 5,000 dollars and the owner has 4,200 dollars. What is the gap?

Answer: B. 800 dollars

5,000 - 4,200 = 800 dollars.

- ✗ A. 9,200 dollars: added
- ✗ C. 5,000 dollars: the budget
- ✗ D. 4,200 dollars: money available

Arithmetic checked by code: yes. Sources: none (stable)

S45-B1-Q1 · question page 931

ENT.COST.03 · Finding a percent of an amount

What is 10 percent of 500?

Answer: C. 50

0.10 x 500 = 50.

- ✗ A. 5: moved two places
- ✗ B. 5,000: multiplied by 10
- ✗ D. 510: added 10

Arithmetic checked by code: yes. Sources: none (stable)

S45-B1-Q2 · question page 932

ENT.COST.03 · Finding a percent of an amount

15 percent as a decimal is what?

Answer: D. 0.15

15 / 100 = 0.15.

- ✗ A. 0.015: three places
- ✗ B. 1.5: one place
- ✗ C. 15.0: not converted

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-B1-Q3 · question page 933

ENT.COST.03 · Finding a percent of an amount

What is 500 increased by 10 percent?

Answer: A. 550

500 x 1.10 = 550.

- ✗ B. 510: added 10
- ✗ C. 5,000: multiplied by 10
- ✗ D. 50: only the percent

Arithmetic checked by code: yes. Sources: none (stable)

S45-B1-Q4 · question page 934

ENT.COST.03 · Finding a percent of an amount

What is 5 percent of 2,000?

Answer: D. 100

0.05 x 2,000 = 100.

- ✗ A. 2,005: added 5
- ✗ B. 400: divided by 5
- ✗ C. 10: moved too far

Arithmetic checked by code: yes. Sources: none (stable)

S45-B1-Q5 · question page 935

ENT.COST.03 · Finding a percent of an amount

What is 20 percent of 150?

Answer: A. 30

0.20 x 150 = 30.

✗ B. 3: moved too far

✗ C. 170: added 20

✗ D. 7.5: divided by 20

Arithmetic checked by code: yes. Sources: none (stable)

S45-F1-Q1 · question page 936

ENT.COST.03 · Apply it: check a draft budget

Ida's budget: equipment 1,500, first inventory 800, 3 months of rent at 350, no contingency. What is missing?

Answer: D. A contingency for surprises

No buffer is included.

✗ A. The cost of the first inventory: listed

✗ B. Rent: listed

✗ C. The equipment cost: listed

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F1-Q2 · question page 937

ENT.COST.03 · Apply it: check a draft budget

Same budget. What is the total before any contingency?

Answer: B. 3,350 dollars

1,500 + 800 + 3 x 350 = 3,350 dollars.

✗ A. 2,300 dollars: no rent

✗ C. 4,400 dollars: six months of rent

✗ D. 2,650 dollars: one month of rent

Arithmetic checked by code: yes. Sources: none (stable)

S45-F1-Q3 · question page 938

ENT.COST.03 · Apply it: check a draft budget

If Ida adds a 15 percent contingency to 3,350 dollars, what is the new total?

Answer: D. 3,852.50 dollars

3,350 x 1.15 = 3,852.50 dollars.

- ✗ A. 3,365 dollars: added 15
- ✗ B. 3,850 dollars: rounded too early
- ✗ C. 502.50 dollars: only the contingency

Arithmetic checked by code: yes. Sources: none (stable)

S45-F1-Q4 · question page 939

ENT.COST.03 · Apply it: check a draft budget

An assumption says "supplies cost 2 dollars per unit." The supplier now charges 2.40 dollars. What should Ida do?

Answer: A. Update the assumption and recalculate

Budgets improve when assumptions are checked.

- ✗ B. Delete the supplies line: cost still exists
- ✗ C. Keep the old number; budgets never change: outdated
- ✗ D. Double every cost to be safe: not justified

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F1-Q5 · question page 940

ENT.COST.03 · Apply it: check a draft budget

Which budget is most realistic for a new café?

Answer: C. One with equipment, several months of costs and a buffer

Completeness and buffers matter.

- ✗ A. One with no rent listed, because the first rent is due later: still due
- ✗ B. One listing only the espresso machine: incomplete
- ✗ D. One assuming full sales on day one: unrealistic

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F2-Q1 · question page 941

ENT.COST.03 · Handle the complications: tight money and changing plans

A budget needs 6,000 dollars; the owner has 4,500. Which option keeps risk lowest?

Answer: B. Start smaller and cut nonessential costs

Reducing scope fits the available money.

- ✗ A. Borrow at a high rate without a repayment plan: adds risk
- ✗ C. Skip rent payments for a while: harmful
- ✗ D. Remove the contingency and hope: adds risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F2-Q2 · question page 942

ENT.COST.03 · Handle the complications: tight money and changing plans

An owner's contingency is 5 percent but her equipment is old and breaks often. What should she consider?

Answer: D. A larger contingency

Risky situations need bigger buffers.

- ✗ A. Assuming nothing will break: unrealistic
- ✗ B. No contingency at all: adds risk
- ✗ C. Removing equipment from the budget: still needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F2-Q3 · question page 943

ENT.COST.03 · Handle the complications: tight money and changing plans

A budget used last year's prices. Prices rose about 8 percent. A 2,500-dollar line becomes about how much?

Answer: C. 2,700 dollars

2,500 x 1.08 = 2,700 dollars.

- ✗ A. 2,508 dollars: added 8
- ✗ B. 3,300 dollars: added 800
- ✗ D. 200 dollars: only the increase

Arithmetic checked by code: yes. Sources: none (stable)

S45-F2-Q4 · question page 944

ENT.COST.03 · Handle the complications: tight money and changing plans

Which mistake makes a budget look better than reality?

Answer: B. Leaving out the owner's living costs while sales are slow

Personal needs affect how long the owner can last.

- ✗ A. Including a buffer: helpful
- ✗ C. Writing down each assumption clearly: helpful
- ✗ D. Listing recurring costs for several months ahead of time: helpful

Arithmetic checked by code: not applicable. Sources: none (stable)

S45-F2-Q5 · question page 945

ENT.COST.03 · Handle the complications: tight money and changing plans

Which statement is accurate?

Answer: D. A budget is a plan to update as real numbers arrive.

Update as you learn.

- ✗ A. Budgets are only useful for large companies with many staff.: all benefit
- ✗ B. A budget is fixed and never changes.: should be updated
- ✗ C. A budget guarantees profit.: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S46-M-Q1 · question page 947

ENT.PRICE.01 · Compute cost per item and compare it with price

A batch of 50 bracelets uses 75 dollars of beads and string. What is the cost per bracelet?

Answer: C. 1.50 dollars

75 / 50 = 1.50 dollars.

- ✗ A. 3.75 dollars: divided wrongly
- ✗ B. 75.00 dollars: not divided
- ✗ D. 0.67 dollars: divided 50 by 75

Arithmetic checked by code: yes. Sources: none (stable)

S46-M-Q2 · question page 948

ENT.PRICE.01 · Compute cost per item and compare it with price

The cookie cost per item is 0.60 dollars. The price is 1.50 dollars. What does each sale contribute?

Answer: D. 0.90 dollars

1.50 - 0.60 = 0.90 dollars.

- ✗ A. 0.60 dollars: the cost
- ✗ B. 1.50 dollars: the price
- ✗ C. 2.10 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S46-M-Q3 · question page 949

ENT.PRICE.01 · Compute cost per item and compare it with price

What happens if the price is below the cost per item?

Answer: B. Each sale loses money

Price must exceed unit cost.

- ✗ A. Fixed costs disappear: no

✗ C. Each sale makes more profit than before: not true

✗ D. Nothing changes at all: losses grow

Arithmetic checked by code: not applicable. Sources: none (stable)

S46-M-Q4 · question page 950

ENT.PRICE.01 · Compute cost per item and compare it with price

Which should be included in cost per item for a candle?

Answer: A. Wax, wick, jar and label

Include everything the item uses.

✗ B. The owner's personal groceries: not a business cost

✗ C. Only the label, since customers see it: incomplete

✗ D. Only the wax, since it is the main material: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S46-M-Q5 · question page 951

ENT.PRICE.01 · Compute cost per item and compare it with price

A batch of 20 cards costs 8 dollars of paper and 2 dollars of envelopes. What is the cost per card?

Answer: B. 0.50 dollars

(8 + 2) / 20 = 0.50 dollars.

✗ A. 10.00 dollars: not divided

✗ C. 0.40 dollars: paper only

✗ D. 0.10 dollars: envelopes only

Arithmetic checked by code: yes. Sources: none (stable)

S46-B1-Q1 · question page 952

ENT.PRICE.01 · Dividing a total among items

24 dollars for 8 items. What is the cost per item?

Answer: C. 3 dollars

24 / 8 = 3.

- ✗ A. 0.33 dollars: divided 8 by 24
- ✗ B. 16 dollars: subtracted
- ✗ D. 192 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S46-B1-Q2 · question page 953

ENT.PRICE.01 · Dividing a total among items

How do you check 2.50 dollars per item for 12 items?

Answer: C. Multiply 2.50 by 12 to get 30

Multiplying back checks the division.

- ✗ A. Subtract 12 from 30 and compare: not a check
- ✗ B. Divide 12 by 2.50: not a check
- ✗ D. Add 2.50 and 12: not a check

Arithmetic checked by code: not applicable. Sources: none (stable)

S46-B1-Q3 · question page 954

ENT.PRICE.01 · Dividing a total among items

45 dollars for 10 items. What is the cost per item?

Answer: A. 4.50 dollars

45 / 10 = 4.50.

- ✗ B. 0.22 dollars: divided wrong way
- ✗ C. 35 dollars: subtracted
- ✗ D. 450 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S46-B1-Q4 · question page 955

ENT.PRICE.01 · Dividing a total among items

12 dollars of ingredients plus 3 dollars of boxes for 30 items. What is the cost per item?

Answer: B. 0.50 dollars

(12 + 3) / 30 = 0.50.

- ✗ A. 0.40 dollars: ingredients only
- ✗ C. 0.10 dollars: boxes only
- ✗ D. 15 dollars: not divided

Arithmetic checked by code: yes. Sources: none (stable)

S46-B1-Q5 · question page 956

ENT.PRICE.01 · Dividing a total among items

A result of 240 dollars per item from a 60-dollar batch of 4 is a sign of what?

Answer: B. Multiplying instead of dividing

60 x 4 = 240 is the mistake.

- ✗ A. A missing item: no
- ✗ C. A correct answer for the batch: 60 / 4 = 15
- ✗ D. A cheap batch: no

Arithmetic checked by code: yes. Sources: none (stable)

S46-F1-Q1 · question page 957

ENT.PRICE.01 · Apply it: set a price that covers cost

A tote bag costs 6 dollars to make. Which price at least covers the cost per item?

Answer: D. 9 dollars

9 > 6.

✗ A. 4 dollars: below cost

✗ B. 5.50 dollars: below cost

✗ C. 5 dollars: below cost

Arithmetic checked by code: yes. Sources: none (stable)

S46-F1-Q2 · question page 958

ENT.PRICE.01 · Apply it: set a price that covers cost

A baker makes 24 muffins with 18 dollars of ingredients and 6 dollars of liners and boxes. She prices muffins at 2 dollars. What does each muffin contribute?

Answer: A. 1.00 dollar

Cost = 24 / 24 = 1.00; 2.00 - 1.00 = 1.00.

✗ B. 1.25 dollars: ingredients only

✗ C. 2.00 dollars: the price

✗ D. 0.75 dollars: cost per item

Arithmetic checked by code: yes. Sources: none (stable)

S46-F1-Q3 · question page 959

ENT.PRICE.01 · Apply it: set a price that covers cost

A printer charges 0.80 dollars per sticker plus 10 dollars per order. An order of 100 stickers costs how much per sticker?

Answer: B. 0.90 dollars

(0.80 x 100 + 10) / 100 = 0.90 dollars.

✗ A. 0.10 dollars: only the order fee

✗ C. 90 dollars: total cost

✗ D. 0.80 dollars: left out order fee

Arithmetic checked by code: yes. Sources: none (stable)

S46-F1-Q4 · question page 960

ENT.PRICE.01 · Apply it: set a price that covers cost

A seller forgot the 0.30-dollar label on each 2-dollar item. What is the true cost per item?

Answer: C. 2.30 dollars

2.00 + 0.30 = 2.30 dollars.

- ✗ A. 1.70 dollars: subtracted
- ✗ B. 2.00 dollars: forgot the label
- ✗ D. 0.30 dollars: label only

Arithmetic checked by code: yes. Sources: none (stable)

S46-F1-Q5 · question page 961

ENT.PRICE.01 · Apply it: set a price that covers cost

Two suppliers: A sells 100 jars for 120 dollars; B sells 60 jars for 66 dollars. Which is cheaper per jar?

Answer: A. B, at 1.10 dollars

A: 1.20; B: 66 / 60 = 1.10.

- ✗ B. They cost the same: they differ
- ✗ C. A, at 1.10 dollars: mixed up
- ✗ D. A, at 1.20 dollars: A is higher

Arithmetic checked by code: yes. Sources: none (stable)

S46-F2-Q1 · question page 962

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

A baker makes 40 cookies but 4 break and cannot be sold. Ingredients cost 20 dollars. What is the cost per SOLD cookie, to the nearest cent?

Answer: A. 0.56 dollars

20 / 36 = 0.555... about 0.56.

- ✗ B. 5.00 dollars: divided by 4

✗ C. 0.50 dollars: divided by 40

✗ D. 0.45 dollars: divided by 44

Arithmetic checked by code: yes. Sources: none (stable)

S46-F2-Q2 · question page 963

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

A supplier requires a minimum order of 500 labels for 50 dollars, but the owner needs only 100 this month. What is the true cost per label used this month?

Answer: B. 0.50 dollars

50 / 100 = 0.50 if the rest go unused.

✗ A. 50 dollars: not divided

✗ C. 5.00 dollars: divided by 10

✗ D. 0.10 dollars: divided by 500

Arithmetic checked by code: yes. Sources: none (stable)

S46-F2-Q3 · question page 964

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

Ingredient prices rose 10 percent, raising cost per item from 2.00 to 2.20 dollars. Price stays 3.00 dollars. What is the new contribution per item?

Answer: D. 0.80 dollars

3.00 - 2.20 = 0.80 dollars.

✗ A. 0.20 dollars: the increase

✗ B. 2.20 dollars: the new cost

✗ C. 1.00 dollar: old contribution

Arithmetic checked by code: yes. Sources: none (stable)

S46-F2-Q4 · question page 965

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

A seller computes cost per item but forgets shipping supplies used on every order. What happens?

Answer: D. The price may look profitable when it is not

Missing costs inflate apparent margin.

- ✗ A. Costs are overestimated by the seller: underestimated
- ✗ B. Nothing changes: costs are missing
- ✗ C. Taxes disappear: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S46-F2-Q5 · question page 966

ENT.PRICE.01 · Handle the complications: waste, minimums and changing costs

Which statement is accurate?

Answer: B. Cost per item should be rechecked when supplier prices or waste change.

Recalculate when inputs change.

- ✗ A. Cost per item is calculated once at the start and never changes after that.: it can change
- ✗ C. Waste never affects cost.: it does
- ✗ D. Only fixed costs matter for price.: unit cost matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-M-Q1 · question page 968

ENT.CASH.01 · Distinguish revenue, profit and cash

What is revenue?

Answer: A. Money earned from customers before costs

Revenue is total sales.

- ✗ B. Money borrowed from a bank loan: not earned

✗ C. Money left after paying every expense: that is profit

✗ D. Money sitting in the bank right now: that is cash

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-M-Q2 · question page 969

ENT.CASH.01 · Distinguish revenue, profit and cash

Revenue is 4,000 dollars and expenses are 3,100 dollars. What is the profit?

Answer: B. 900 dollars

4,000 - 3,100 = 900 dollars.

✗ A. 3,100 dollars: expenses

✗ C. 7,100 dollars: added

✗ D. 4,000 dollars: revenue

Arithmetic checked by code: yes. Sources: none (stable)

S47-M-Q3 · question page 970

ENT.CASH.01 · Distinguish revenue, profit and cash

How can a business show a profit but have little cash?

Answer: D. Customers have not paid their invoices yet

Unpaid invoices and inventory tie up cash.

✗ A. Expenses are counted twice: not the reason

✗ B. Profit always equals cash in the bank: not always

✗ C. Revenue is always zero: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-M-Q4 · question page 971

ENT.CASH.01 · Distinguish revenue, profit and cash

What is cash?

Answer: D. Money actually available in the account

Cash is what you can spend now.

- ✗ A. Sales minus costs on paper for the month: profit
- ✗ B. All sales ever made: revenue
- ✗ C. The value of the logo: not cash

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-M-Q5 · question page 972

ENT.CASH.01 · Distinguish revenue, profit and cash

Revenue is 2,000 dollars and expenses are 2,300 dollars. What is the result?

Answer: D. A loss of 300 dollars

2,000 - 2,300 = -300.

- ✗ A. A loss of 2,000 dollars: revenue only
- ✗ B. A profit of 300 dollars: wrong sign
- ✗ C. A profit of 4,300 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S47-B1-Q1 · question page 973

ENT.CASH.01 · A lemonade stand's day

The stand's revenue is what?

Answer: B. 30 dollars

30 cups x 1 dollar.

- ✗ A. 12 dollars: profit
- ✗ C. 18 dollars: costs
- ✗ D. 25 dollars: cash from sales

Arithmetic checked by code: yes. Sources: none (stable)

S47-B1-Q2 · question page 974

ENT.CASH.01 · A lemonade stand's day

The stand's profit is what?

Answer: C. 12 dollars

30 - 18 = 12.

- ✗ A. 48 dollars: added
- ✗ B. 18 dollars: costs
- ✗ D. 30 dollars: revenue

Arithmetic checked by code: yes. Sources: none (stable)

S47-B1-Q3 · question page 975

ENT.CASH.01 · A lemonade stand's day

Why is there only 25 dollars of sales cash?

Answer: C. A neighbor will pay tomorrow

An unpaid sale is not yet cash.

- ✗ A. Profit for the day was negative: no
- ✗ B. Lemons were free: no
- ✗ D. Cups were stolen: not stated

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-B1-Q4 · question page 976

ENT.CASH.01 · A lemonade stand's day

"What is in the box" means which word?

Answer: D. Cash

Cash is what you hold.

✗ A. Expenses: costs

✗ B. Profit: after costs

✗ C. Revenue: sold

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-B1-Q5 · question page 977

ENT.CASH.01 · A lemonade stand's day

"What is left after costs" means which word?

Answer: A. Profit

Profit is after costs.

✗ B. Cash: in the box

✗ C. Sales: revenue

✗ D. Revenue: before costs

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F1-Q1 · question page 978

ENT.CASH.01 · Apply it: read a month's results

A photographer billed clients 5,000 dollars in May. Expenses were 2,200 dollars. Clients paid 3,500 dollars so far. What is the May profit?

Answer: C. 2,800 dollars

5,000 - 2,200 = 2,800 dollars.

✗ A. 1,300 dollars: used cash received

✗ B. 3,500 dollars: cash received

✗ D. 5,000 dollars: revenue

Arithmetic checked by code: yes. Sources: none (stable)

S47-F1-Q2 · question page 979

ENT.CASH.01 · Apply it: read a month's results

Same photographer. Cash received minus expenses paid is what?

Answer: B. 1,300 dollars

3,500 - 2,200 = 1,300 dollars.

- ✗ A. 1,500 dollars: unpaid invoices
- ✗ C. 2,800 dollars: profit
- ✗ D. 5,700 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S47-F1-Q3 · question page 980

ENT.CASH.01 · Apply it: read a month's results

A shop spends 3,000 dollars on inventory it will sell next month. This month's cash drops. What happened to the money?

Answer: A. It turned into goods waiting to be sold

Inventory ties up cash.

- ✗ B. It was paid as taxes: not stated
- ✗ C. It disappeared: it became inventory
- ✗ D. It became profit for the month right away: not yet sold

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F1-Q4 · question page 981

ENT.CASH.01 · Apply it: read a month's results

Which month shows revenue but a loss?

Answer: A. Revenue 1,800, expenses 2,100

1,800 - 2,100 = -300.

- ✗ B. Revenue 1,800, expenses 1,200: profit
- ✗ C. Revenue 0, expenses 0: no revenue
- ✗ D. Revenue 2,500, expenses 2,000: profit

Arithmetic checked by code: yes. Sources: none (stable)

S47-F1-Q5 · question page 982

ENT.CASH.01 · Apply it: read a month's results

An owner says "We sold 10,000 dollars, so we have 10,000 dollars." What is wrong?

Answer: C. Sales are not cash or profit

Costs and timing differ.

- ✗ A. Revenue is a cost: no
- ✗ B. Sales should be doubled: no
- ✗ D. Nothing; revenue always equals cash: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F2-Q1 · question page 983

ENT.CASH.01 · Handle the complications: growth that runs out of cash

Sales are rising fast, but the owner must buy materials 60 days before customers pay. What risk grows?

Answer: C. Running out of cash despite profits

Fast growth can drain cash.

- ✗ A. Taxes vanishing: no
- ✗ B. Revenue falling to zero: not implied
- ✗ D. Too much cash piling up in the bank: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F2-Q2 · question page 984

ENT.CASH.01 · Handle the complications: growth that runs out of cash

A business is profitable on paper but cannot pay rent this week. Which action helps soonest?

Answer: A. Collect overdue invoices

Collecting payments brings cash in.

- ✗ B. Ignore the rent notice: harmful
- ✗ C. Lower all prices: not immediate
- ✗ D. Buy more inventory today: uses more cash

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F2-Q3 · question page 985

ENT.CASH.01 · Handle the complications: growth that runs out of cash

A business made 12,000 dollars of profit this year. The owner took 9,000 dollars in draws and bought 4,000 dollars of equipment. Ignoring other items, how did cash change?

Answer: C. Down 1,000 dollars

12,000 - 9,000 - 4,000 = -1,000.

- ✗ A. Down 13,000 dollars: ignored profit
- ✗ B. Up 3,000 dollars: ignored equipment
- ✗ D. Up 12,000 dollars: ignored uses

Arithmetic checked by code: yes. Sources: none (stable)

S47-F2-Q4 · question page 986

ENT.CASH.01 · Handle the complications: growth that runs out of cash

Which number should an owner check before promising to pay a supplier on Friday?

Answer: B. Cash expected by Friday

Bills are paid with cash.

- ✗ A. Number of followers: irrelevant
- ✗ C. Total revenue for the year: not timing
- ✗ D. Profit last year: not timing

Arithmetic checked by code: not applicable. Sources: none (stable)

S47-F2-Q5 · question page 987

ENT.CASH.01 · Handle the complications: growth that runs out of cash

Which statement is accurate?

Answer: A. A business needs profit over time and cash at every moment.

Track both.

- ✗ B. Profit and cash are always identical.: not true
- ✗ C. Cash never matters for businesses that are profitable on paper.: not true
- ✗ D. Revenue is the only number that matters.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-M-Q1 · question page 989

ENT.PRICE.02 · Compute markup and margin and tell them apart

Cost 5 dollars, price 8 dollars. What is the markup?

Answer: B. 60 percent

3 / 5 = 0.60.

- ✗ A. 3 percent: the dollar gap
- ✗ C. 37.5 percent: that is margin
- ✗ D. 160 percent: price over cost

Arithmetic checked by code: yes. Sources: none (stable)

S48-M-Q2 · question page 990

ENT.PRICE.02 · Compute markup and margin and tell them apart

Cost 5 dollars, price 8 dollars. What is the margin?

Answer: A. 37.5 percent

3 / 8 = 0.375.

- ✗ B. 60 percent: that is markup
- ✗ C. 62.5 percent: cost over price

✗ D. 3 percent: the dollar gap

Arithmetic checked by code: yes. Sources: none (stable)

S48-M-Q3 · question page 991

ENT.PRICE.02 · Compute markup and margin and tell them apart

Markup uses which base?

Answer: C. The cost

Markup divides by cost.

✗ A. The price: that is margin
✗ B. The tax rate: not the base
✗ D. The number sold: not the base

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-M-Q4 · question page 992

ENT.PRICE.02 · Compute markup and margin and tell them apart

For the same item, which is larger?

Answer: D. Markup

Dividing by the smaller cost gives a larger percent.

✗ A. It depends on the tax rate: not related
✗ B. Margin: smaller base wins
✗ C. They are always equal: not equal

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-M-Q5 · question page 993

ENT.PRICE.02 · Compute markup and margin and tell them apart

Cost 20 dollars, a 50 percent markup. What is the price?

Answer: C. 30 dollars

20 x 1.50 = 30.

- ✗ A. 25 dollars: 25 percent markup
- ✗ B. 40 dollars: 100 percent markup
- ✗ D. 10 dollars: the markup alone

Arithmetic checked by code: yes. Sources: none (stable)

S48-B1-Q1 · question page 994

ENT.PRICE.02 · Writing a part as a percent of a whole

What percent is 2 of 8?

Answer: B. 25 percent

2 / 8 = 0.25.

- ✗ A. 4 percent: divided 8 by 2
- ✗ C. 400 percent: reversed
- ✗ D. 2 percent: not divided

Arithmetic checked by code: yes. Sources: none (stable)

S48-B1-Q2 · question page 995

ENT.PRICE.02 · Writing a part as a percent of a whole

What percent is 6 of 10?

Answer: A. 60 percent

6 / 10 = 0.60.

- ✗ B. 167 percent: reversed
- ✗ C. 6 percent: not converted
- ✗ D. 16 percent: added

Arithmetic checked by code: yes. Sources: none (stable)

S48-B1-Q3 · question page 996

ENT.PRICE.02 · Writing a part as a percent of a whole

In "3 is what percent of 12?", which number is the base?

Answer: D. 12

The base is "of what."

- ✗ A. 3: the part
- ✗ B. 100: not the base
- ✗ C. 15: added

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-B1-Q4 · question page 997

ENT.PRICE.02 · Writing a part as a percent of a whole

What percent is 5 of 20?

Answer: B. 25 percent

5 / 20 = 0.25.

- ✗ A. 5 percent: not divided
- ✗ C. 4 percent: reversed
- ✗ D. 20 percent: not divided

Arithmetic checked by code: yes. Sources: none (stable)

S48-B1-Q5 · question page 998

ENT.PRICE.02 · Writing a part as a percent of a whole

Why do 3 / 4 and 3 / 12 give different percents?

Answer: A. The base is different

Different bases give different percents.

- ✗ B. One is wrong: both correct
- ✗ C. The part is different: same part

✗ D. Percents are random: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-B2-Q1 · question page 999

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

Markup compares the gap with what?

Answer: C. What you paid

Markup uses cost.

✗ A. The tax: no
✗ B. The customer: no
✗ D. The price tag: margin

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-B2-Q2 · question page 1000

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

Margin compares the gap with what?

Answer: D. The price tag

Margin uses price.

✗ A. What you paid: markup
✗ B. The rent: no
✗ C. The weather: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-B2-Q3 · question page 1001

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

In the example, what is the dollar gap?

Answer: A. 4 dollars

10 - 6 = 4.

- ✗ B. 10 dollars: price
- ✗ C. 16 dollars: added
- ✗ D. 6 dollars: cost

Arithmetic checked by code: yes. Sources: none (stable)

S48-B2-Q4 · question page 1002

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

"How much of the price tag do I keep?" is which idea?

Answer: C. Margin

Margin is the share of price kept.

- ✗ A. Cash: money on hand
- ✗ B. Markup: uses cost
- ✗ D. Revenue: total sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-B2-Q5 · question page 1003

ENT.PRICE.02 · Markup looks back at cost; margin looks at the price tag

Does the dollar gap change between markup and margin?

Answer: D. No, only the comparison changes

The base changes, not the gap.

- ✗ A. Yes, it halves: no
- ✗ B. Yes, it becomes zero for margin: no
- ✗ C. Yes, it doubles: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S48-F1-Q1 · question page 1004

ENT.PRICE.02 · Apply it: price with a target markup or margin

A reseller buys mugs for 8 dollars and wants a 40 percent margin. What price works, to the nearest cent?

Answer: B. 13.33 dollars

Price = cost / (1 - 0.40) = 8 / 0.60 = 13.33.

- ✗ A. 12.00 dollars: added 4
- ✗ C. 3.20 dollars: the markup
- ✗ D. 11.20 dollars: used 40 percent markup

Arithmetic checked by code: yes. Sources: none (stable)

S48-F1-Q2 · question page 1005

ENT.PRICE.02 · Apply it: price with a target markup or margin

An owner adds a 40 percent markup to a cost of 8 dollars, thinking it gives a 40 percent margin. What margin does she actually get, to one decimal place?

Answer: C. 28.6 percent

Price 11.20; gap 3.20; 3.20 / 11.20 = 0.286.

- ✗ A. 11.2 percent: price as percent
- ✗ B. 40 percent: the mistake
- ✗ D. 60 percent: one minus 40

Arithmetic checked by code: yes. Sources: none (stable)

S48-F1-Q3 · question page 1006

ENT.PRICE.02 · Apply it: price with a target markup or margin

Cost 12 dollars, price 20 dollars. What is the margin?

Answer: D. 40 percent

8 / 20 = 0.40.

- ✗ A. 8 percent: the dollar gap

✗ B. 67 percent: markup

✗ C. 60 percent: cost over price

Arithmetic checked by code: yes. Sources: none (stable)

S48-F1-Q4 · question page 1007

ENT.PRICE.02 · Apply it: price with a target markup or margin

A supplier says "Industry margin is 50 percent." Item cost is 15 dollars. What price gives a 50 percent margin?

Answer: A. 30 dollars

15 / 0.50 = 30.

✗ B. 22.50 dollars: 50 percent markup

✗ C. 15 dollars: no margin

✗ D. 7.50 dollars: half of cost

Arithmetic checked by code: yes. Sources: none (stable)

S48-F1-Q5 · question page 1008

ENT.PRICE.02 · Apply it: price with a target markup or margin

Which statement is correct for cost 6, price 10?

Answer: B. Markup is about 67 percent and margin is 40 percent

Markup 4/6; margin 4/10.

✗ A. Both are 4 percent: dollars, not percent

✗ C. Markup is 40 percent and margin is about 67 percent: reversed

✗ D. Both are 40 percent: not equal

Arithmetic checked by code: yes. Sources: none (stable)

S48-F2-Q1 · question page 1009

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

An item costs 10 dollars and sells for 20 dollars (50 percent margin). A 20 percent discount is

offered. What is the new margin?

Answer: B. 37.5 percent

New price 16; gap 6; 6 / 16 = 0.375.

- ✗ A. 30 percent: subtracted 20 points
- ✗ C. 50 percent: ignored discount
- ✗ D. 20 percent: the discount

Arithmetic checked by code: yes. Sources: none (stable)

S48-F2-Q2 · question page 1010

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

A payment fee takes 3 percent of a 50-dollar price. Item cost is 30 dollars. What is the margin after the fee?

Answer: D. 37 percent

Gap = 50 - 30 - 1.50 = 18.50; 18.50 / 50 = 0.37.

- ✗ A. 40 percent: ignored fee
- ✗ B. 43 percent: added the fee
- ✗ C. 3 percent: only the fee

Arithmetic checked by code: yes. Sources: none (stable)

S48-F2-Q3 · question page 1011

ENT.PRICE.02 · Handle the complications: discounts, fees and mixed terms

A business partner says "our markup is 25 percent" but means margin. Why does it matter?

Answer: A. Prices set from the wrong term can be too low

Confirm which base is meant.

- ✗ B. It never matters which word is used: it changes price
- ✗ C. Margin is only for taxes: not true
- ✗ D. Markup and margin are legally identical: not the issue